Taxation Law

Study Material for Units I to VI

Based on the Income Tax Act, 2025 (Act 30 of 2025) as amended up to Act 21 of 2026, the Constitution of India and leading judicial decisions

Revised and condensed edition, November 2026

About This Material

This material follows your syllabus unit by unit. Each topic gives the basic idea, the statutory provisions, the leading cases and exam points, and each unit ends with practice questions.

How to read the references

1. "Section" alone means a section of the Income Tax Act, 2025 ("the 2025 Act"). "1961 Act" means the Income Tax Act, 1961, which the 2025 Act repealed from 1 April 2026 (section 536(1)).
2. "Schedule" means a Schedule to the 2025 Act, and "Sl. No." means the serial number in its Table. "Rules" means the Income Tax Rules, 2026.
3. Most leading cases were decided under the 1961 Act or the 1922 Act. Each is linked here to the corresponding provision of the 2025 Act.

Sources and verification

1. **Statutory text.** Every section number, definition, rate and limit was checked against the SCC Online text of the 2025 Act, as amended up to Act 21 of 2026, including the Finance Act, 2026 (Act 4 of 2026).
2. **Other facts.** The legislative history of the Act, the Income Tax Rules, 2026 (including Rules 271 and 279), the Sixteenth Finance Commission and several leading judgments were checked against published sources.
3. **Case citations** are from standard law reports. Confirm them on a database before quoting them in written work. Four recent cases are cited by name and year only.
4. This is study material, not legal advice.

Contents

1. Unit I: Introduction to Taxation
2. Unit II: Constitution and Taxation; Interpretation of Tax Statutes
3. Unit III: Introduction to the Income Tax Act, 2025
4. Unit IV: Income under the Head Salaries
5. Unit V: Income from House Property
6. Unit VI: Profits and Gains of Business or Profession
7. Appendix A: Section finder from the 1961 Act to the 2025 Act
8. Appendix B: Key figures to remember

Unit I: Introduction to Taxation

1. Meaning of Tax

A tax is a compulsory payment that the State collects under the authority of law to meet public expenditure, without giving the payer any specific service in return. The absence of a direct return (no quid pro quo) is what separates a tax from a fee or a price.

In *Commissioner, Hindu Religious Endowments, Madras v. Sri Lakshmindra Thirtha Swamiar of Sri Shirur Mutt*, AIR 1954 SC 282 (the Shirur Mutt case), Mukherjea J. adopted the definition given by Latham C.J. in *Matthews v. Chicory Marketing Board* (1938) 60 CLR 263: a tax is a compulsory exaction of money by a public authority for public purposes, enforceable by law, and is not a payment for services rendered. Five features follow.

1. **Compulsory:** the payer has no choice; non payment leads to recovery, interest and penalty.
2. **Imposed by law:** no tax can be levied or collected except by authority of law (Article 265).
3. **For public purposes:** the proceeds go to the Consolidated Fund (Article 266) and meet general public needs.
4. **No quid pro quo:** the payer cannot demand a special service in return.
5. **Enforceable:** the law provides machinery to assess, collect and punish evasion.

Article 366(28) adds that "taxation" includes the imposition of any tax or impost, whether general, local or special.

1.1 The four components of a tax

In *Govind Saran Ganga Saran v. Commissioner of Sales Tax*, 1985 Supp SCC 205, the Supreme Court held that every tax has four components, and if any of them is uncertain the levy fails.

1. The **taxable event** that attracts the levy.
2. The **person** liable to pay.
3. The **rate** of tax.
4. The **measure or value** to which the rate applies.

Under the 2025 Act, the taxable event is earning total income in a tax year (section 4(2)), the person is "every person" (section 2(77)), the rate comes from the Finance Act (section 4(1)) or section 202(1), and the measure is total income computed under the Act (sections 2(108) and 5).

2. History of Taxation

1. **Ancient India.** The Manusmriti (Chapter VII) asks the king to take moderate taxes, little by little, as the leech, the calf and the bee take their food, and allows him a share of the crop of one sixth, one eighth or one twelfth. Kautilya's Arthashastra describes an organised revenue system with officials such as the samaharta (collector general) and the sannidhata (treasurer). Kalidasa's Raghuvamsha praises King Dilipa, who taxed his subjects only for their welfare, as the sun draws up water only to return it a thousandfold as rain.
2. **Medieval period.** Land revenue was the main source of income. Under Akbar, Raja Todar Mal reorganised it on the basis of measurement of land and average produce.
3. **British period.** Income tax was first introduced in 1860 by James Wilson, the first Finance Member, to meet the financial strain after the revolt of 1857. The Income Tax Act, 1886 gave it a lasting form, followed by the Acts of 1918 and 1922. The Government of India Act, 1935 placed

taxes on income other than agricultural income in the Federal List (Entry 54) and left agricultural income to the provinces.

4. **After Independence.** The Constitution gave Parliament taxes on income other than agricultural income (Entry 82, List I) and the States taxes on agricultural income (Entry 46, List II). Nicholas Kaldor's report (1956) led to the Wealth Tax Act, 1957, the Expenditure Tax Act, 1957 and the Gift Tax Act, 1958. Gift tax ceased to apply to gifts made on or after 1 October 1998, and wealth tax was abolished by the Finance Act, 2015. The Income Tax Act, 1961 came into force on 1 April 1962, after the Law Commission's Twelfth Report (1958) on the 1922 Act. A Direct Taxes Code Bill introduced in 2010 lapsed in 2014.
5. **The 2025 Act.** The Income Tax Bill, 2025 was introduced on 13 February 2025 and examined by a Select Committee of 31 members chaired by Baijayant Panda, which reported on 21 July 2025. The Bill was withdrawn on 8 August 2025. The Income Tax (No. 2) Bill, 2025 was passed by the Lok Sabha on 11 August and by the Rajya Sabha on 12 August 2025, received assent on 21 August 2025 and came into force on 1 April 2026.

3. Types of Taxes

1. **Direct and indirect.** In a direct tax, such as income tax, the person on whom the tax is imposed also bears it. An indirect tax, such as GST or customs duty, can be passed on to others through prices. Direct taxes are administered by the Central Board of Direct Taxes and indirect taxes by the Central Board of Indirect Taxes and Customs, both under the Central Boards of Revenue Act, 1963.
2. **Progressive, proportional, regressive and degressive.** A progressive tax rises with income: section 202(1) charges nil up to Rs. 4,00,000 and then 5% to 30%. A proportional tax uses one rate: section 195 taxes unexplained income at a flat 30%. A regressive tax takes a larger share of the income of the poor, as a uniform tax on necessities does. A degressive tax rises up to a point and then stays flat.
3. **By level of government.** Union taxes (income tax, customs), State taxes (agricultural income tax, taxes on lands and buildings), local taxes (municipal property tax), and GST levied by both the Union and the States under Article 246A.

4. Purposes of Taxation

Richard Musgrave described three functions of public finance: allocation, distribution and stabilisation. In practice, taxation serves these purposes.

1. **Revenue** to finance defence, administration, justice, infrastructure and welfare.
2. **Redistribution** through progressive rates, supported by Article 38(2) (minimise inequalities in income) and Article 39(b) and (c) (prevent concentration of wealth).
3. **Regulation of behaviour**, such as high taxes on tobacco or deductions for donations (section 133) and health insurance (section 126).
4. **Economic stabilisation and growth**, such as additional depreciation on new plant and machinery (section 33(8)).
5. **Formalisation**, such as disallowing large cash payments (section 36(4)), a lower presumptive rate on digital receipts (section 58), and tax deduction at source (sections 392 and 393).

5. Principles of a Good Tax System

Adam Smith's four canons in The Wealth of Nations (1776) remain the starting point.

1. **Equality:** contribution in proportion to ability. Progressive slabs serve this canon.
2. **Certainty:** the amount, time and manner of payment should be clear. The single "tax year" and the tables in the 2025 Act serve this canon.
3. **Convenience:** collection at a convenient time and in a convenient manner, as with deduction of tax from salary at source.
4. **Economy:** low cost of collection and minimal harm to productive activity.

Later writers added productivity, elasticity, flexibility, simplicity and diversity. On sharing the burden, the **benefit theory** says people should pay according to the benefit they receive from the State, while the **ability to pay theory**, on which income tax mainly rests, says they should pay according to their capacity. Sacrifice theories (equal, proportional or minimum sacrifice) explain ability to pay; minimum sacrifice supports steep progression.

6. Moral Issues in Taxation

6.1 The duty to pay

The usual justification for taxation is that it is the price of an organised society. Justice Oliver Wendell Holmes, dissenting in *Compania General de Tabacos de Filipinas v. Collector of Internal Revenue*, 275 U.S. 87 (1927), put it as "Taxes are what we pay for civilized society." Voluntary compliance improves when people see the system as fair and the money as well used.

6.2 Evasion, avoidance and planning

Evasion is illegal non payment through concealment or fraud, and it attracts penalty and prosecution (Chapters XXI and XXII). **Planning** means arranging one's affairs within the law and its purpose, such as claiming a deduction the law offers. **Avoidance** uses the letter of the law to defeat its purpose, often through artificial arrangements.

IRC v. Duke of Westminster [1936] AC 1 (House of Lords)

Payments to a gardener under a deed of covenant, instead of wages, were held deductible. Lord Tomlin's speech is the source of the principle that a person may arrange his affairs so that the tax payable is less than it would otherwise be.

McDowell and Co. Ltd. v. Commercial Tax Officer (1985) 3 SCC 230

Buyers paid excise duty on liquor directly to the excise authorities so that it would not form part of the seller's turnover for sales tax. The Supreme Court rejected the device. Chinnappa Reddy J. said that colourable devices cannot be part of tax planning.

Union of India v. Azadi Bachao Andolan (2004) 10 SCC 1

A CBDT circular allowing Mauritius residents to claim treaty benefits was upheld. Treaty shopping is not illegal in itself, and legitimate tax planning is permissible.

Vodafone International Holdings B.V. v. Union of India (2012) 6 SCC 613

A sale between non residents of shares in a foreign company that indirectly held an Indian business was held not taxable under the 1961 Act as it then stood. The transaction must be looked at as a whole, and a structure can be disregarded only if it is a sham or colourable device.

Parliament's answer is the **General Anti Avoidance Rule** in Chapter XI of the 2025 Act (sections 178 to 184). Section 179 describes an impermissible avoidance arrangement, section 180 explains lack of commercial substance, and section 181 sets out the consequences.

6.3 Other moral questions

1. **Fairness of exemptions.** Every exemption shifts the burden onto others. The exemption for agricultural income (Schedule II, Sl. No. 1) protects small farmers but also benefits wealthy agriculturists and can be misused to disguise other income.
2. **Retrospective taxation.** After Vodafone, the Finance Act, 2012 retrospectively amended the 1961 Act to tax indirect transfers. The Taxation Laws (Amendment) Act, 2021 later provided that no demand would be raised on that basis for transfers before 28 May 2012, subject to conditions. Indirect transfers are now dealt with prospectively in section 9(10).
3. **Privacy.** Privacy is a fundamental right (*K.S. Puttaswamy v. Union of India* (2017) 10 SCC 1). Linking the Permanent Account Number with Aadhaar was upheld in *Binoy Viswam v. Union of India* (2017) 7 SCC 59 and in the Aadhaar judgment (2019) 1 SCC 1. The 2025 Act continues the requirement; section 430 levies a fee for default in intimating the Aadhaar number.
4. **Illegal income.** Profits of an illegal business are taxable, and its losses can be set off against its profits (*CIT v. S.C. Kothari* [1971] 82 ITR 794 (SC)). But expenditure for a purpose that is an offence or prohibited by law is not deductible (section 34(2)(a) and (3)).
5. **Sin taxes.** Heavy taxes on tobacco or alcohol reduce harmful consumption but are regressive and paternalistic.

7. Impact, Incidence and Shifting

1. **Impact** is the immediate burden on the person who pays the tax to the Government.
2. **Incidence** is the final resting place of the burden, on the person who cannot pass it on.
3. **Effects** are the wider consequences on prices, production, savings and distribution.

Shifting passes the burden forward to buyers through higher prices, or backward to suppliers or workers through lower prices or wages. A tax on an asset may also be **capitalised** into a lower asset price. How far a tax can be shifted depends on the following factors.

1. **Elasticity:** the more inelastic side of the market bears more of the tax.
2. **Market power:** a monopolist shifts tax more easily than a firm in a competitive market.
3. **Time:** shifting is easier in the long run, when supply can adjust.
4. **Coverage:** a tax on all close substitutes is harder to escape than a tax on one product.

In a direct tax, impact and incidence usually fall on the same person; in an indirect tax, such as GST, the supplier bears the impact and the consumer the incidence. In income tax, an employer may bear the tax on an employee's non monetary perquisite. That tax is excluded from the employee's income (Schedule III, Sl. No. 10) and is not deductible for the employer (section 35(a)(ii)). Where the employer pays tax on an employee's salary, the amount is the employee's income (*Emil Webber v. CIT* (1993) 2 SCC 386; section 17(1)(f)).

8. Taxation and Government

1. **Legal basis.** Article 265 requires authority of law. The 2025 Act is the permanent law, and the annual Finance Act fixes rates (section 4(1)).
2. **Parliamentary control.** The Budget is laid under Article 112. A Bill dealing only with taxation is a Money Bill (Article 110); it is introduced only in the Lok Sabha, and the Rajya Sabha can only make recommendations within fourteen days (Article 109). The Income Tax (No. 2) Bill, 2025 was passed in the Lok Sabha as a Money Bill.

3. **Consent of representatives.** The English Bill of Rights, 1689 made it illegal to levy money for the Crown without the grant of Parliament. Article 265 carries the same idea.
4. **Administration.** The Central Board of Direct Taxes administers income tax. Section 240 requires a Taxpayer's Charter, and sections 245 and 273 provide for faceless jurisdiction and assessment.
5. **Accountability.** The Comptroller and Auditor General audits government accounts (Articles 148 to 151), and the Public Accounts Committee examines the reports.

9. Taxation and Economic Management

1. **Demand management:** lower taxes raise demand; higher taxes help control inflation.
2. **Automatic stabilisers:** progressive income tax collects more in booms and less in slowdowns without new legislation.
3. **Fiscal discipline:** the Fiscal Responsibility and Budget Management Act, 2003 sets the path for reducing the fiscal deficit.
4. **Investment incentives:** additional depreciation (section 33(8)), Part C deductions of Chapter VIII, and concessional rates for certain domestic companies (sections 199 to 201).
5. **Formalisation:** restrictions on cash transactions (sections 36(4) and 185 to 188), tax deduction and collection at source (sections 392 to 394) and the Annual Information Statement (section 510).

10. Tax, Cess and Fee

10.1 Fee

The Shirur Mutt case explained that a fee is a charge for a special service rendered to individuals by a governmental agency. Two elements were identified: the fee is levied in consideration of a service that individuals accept, willingly or unwillingly; and the amount collected is meant to meet the cost of that service rather than go to general revenue. A tax is a common burden, while a fee is payment for a special benefit. Later decisions treated separate earmarking as a relevant sign rather than an absolute condition, because Article 266 requires all revenues to be credited to the Consolidated Fund.

> **Kewal Krishan Puri v. State of Punjab (1980) 1 SCC 416**

A market fee must bear a close and reasonable relationship to services rendered to the payers, and a good and substantial portion of it must be shown to be spent for their special benefit.

> **Sreenivasa General Traders v. State of Andhra Pradesh (1983) 4 SCC 353**

The correlation between a fee and the services need not be exact. A broad and general correlation is enough, and the services may benefit the payers as a class.

> **Corporation of Calcutta v. Liberty Cinema AIR 1965 SC 1107**

A levy called a "licence fee", for which no service was rendered, was in substance a tax. The label does not decide the nature of a levy.

A regulatory fee, charged to regulate a trade, does not need a strict quid pro quo. Fees have their own entries (Entry 96 of List I, Entry 66 of List II and Entry 47 of List III), and under Article 110(2) a Bill is not a Money Bill merely because it provides for fees for licences or services.

10.2 Cess

A cess is a levy for a specific purpose, usually charged as an addition to an existing tax, such as the Health and Education Cess that the Finance Acts levy on income tax. A cess is normally a tax, but it can be a fee if it has the character of a fee.

> **Hingir Rampur Coal Co. Ltd. v. State of Orissa AIR 1961 SC 459**

A cess on mine owners, credited to a fund for developing mining areas, was held to be a fee because it was linked to services that benefited the payers.

> **India Cement Ltd. v. State of Tamil Nadu (1990) 1 SCC 12 and Mineral Area Development Authority v. Steel Authority of India 2024 SCC OnLine SC 1796**

India Cement struck down a State cess on royalty and described royalty as a tax. On 25 July 2024, a nine judge bench in Mineral Area Development Authority held by 8 to 1 (Nagarathna J. dissenting) that royalty is not a tax but a contractual consideration, overruled India Cement on that point, and held that the States' power to tax mineral rights under Entry 50 of List II is not taken away by the Mines and Minerals (Development and Regulation) Act, 1957.

Constitutionally, cess matters because Article 270(1) excludes "any cess levied for specific purposes" from the taxes shared with the States, and surcharges under Article 271 belong wholly to the Union. The 2025 Act treats a cess on income tax as part of the tax: section 35(a) denies a business deduction for income tax, including any surcharge or cess.

10.3 Distinctions in points

1. **Purpose:** a tax is for general purposes; a fee for a special service; a cess for a specified purpose.
2. **Quid pro quo:** none for a tax; a broad correlation for a fee (not for a regulatory fee); none for a cess that is a tax.
3. **Legislative entry:** taxes need a taxing entry; fees fall under the fee entries.
4. **Sharing with States:** Union taxes are generally shared under Article 270; cesses for specific purposes and surcharges are not.
5. **Money Bill:** a Bill imposing a tax is a Money Bill; a Bill providing only for fees is not (Article 110(2)).

> **Exam focus.** Start with Shirur Mutt, explain quid pro quo through Kewal Krishan Puri and Sreenivasa General Traders, show that labels do not matter (Liberty Cinema, Hingir Rampur), and end with the Article 270 consequence of cesses and the 2024 royalty judgment.

Practice Questions for Unit I

1. Define a tax. Distinguish a tax from a fee and a cess with reference to decided cases.
2. Explain impact, incidence and shifting. How do elasticity and market structure affect incidence?
3. "Tax avoidance is legal, but is it moral?" Discuss with reference to Duke of Westminster, McDowell, Azadi Bachao Andolan, Vodafone and the General Anti Avoidance Rule.
4. Trace the development of income tax law in India from 1860 to the Income Tax Act, 2025.
5. State Adam Smith's canons and examine whether the 2025 Act satisfies the canon of certainty.

Unit II: Constitution and Taxation, and Interpretation of Tax Statutes

1. Sources of the Power to Tax

1.1 Article 265

No tax shall be levied or collected except by authority of law. This has three consequences.

1. Only the legislature can impose a tax; delegated legislation (such as rules under section 533) is valid only within the limits of the parent Act.
2. "Law" means a valid law, made by a competent legislature and consistent with fundamental rights and other constitutional limits.
3. Both the levy and the collection need legal authority, and money collected without authority of law can be recovered.

Article 265 is in Part XII, so it is a constitutional right but not a fundamental right; a violation is usually challenged under Article 226.

1.2 Article 246 and the Seventh Schedule

Taxing entries in the Lists are separate from general entries, and a power to legislate on a subject does not include a power to tax it unless there is a taxing entry (*M.P.V. Sundararamier and Co. v. State of Andhra Pradesh*, AIR 1958 SC 468). The entries most relevant here are these.

1. **List I:** Entry 82 (taxes on income other than agricultural income), Entry 83 (customs duties), Entry 85 (corporation tax), Entry 86 (taxes on the capital value of assets, excluding agricultural land), Entry 96 (fees) and Entry 97 (residuary matters, including any tax not mentioned in List II or III).
2. **List II:** Entry 45 (land revenue), Entry 46 (taxes on agricultural income), Entry 49 (taxes on lands and buildings), Entry 50 (taxes on mineral rights, subject to Parliament's law on mineral development), Entry 60 (taxes on professions, trades, callings and employments) and Entry 66 (fees).
3. **List III** has no general taxing entry; Entry 44 covers stamp duties (other than judicial stamps, and not rates) and Entry 47 covers fees. **Article 246A** gives Parliament and the States simultaneous power over GST.

> **Union of India v. H.S. Dhillon (1971) 2 SCC 779**

Wealth tax on net wealth including agricultural land was upheld. It was not a tax on lands and buildings under Entry 49 of List II, so Parliament could levy it under its residuary power (Article 248 and Entry 97 of List I).

1.3 Agricultural income in the Constitution

1. **Article 366(1)** gives "agricultural income" the meaning it has under the Indian income tax law. So section 2(5) of the 2025 Act decides both what the Union cannot tax and what the States may tax under Entry 46 of List II.
2. **Article 274** requires the President's recommendation for a Bill that varies the meaning of "agricultural income" for income tax purposes.
3. **Article 366(6)** defines corporation tax as a tax on the income of companies that, among other conditions, is not charged on agricultural income.

4. **Article 366(29)** provides that "tax on income" includes a tax in the nature of an excess profits tax.

1.4 Extra territorial reach

Under Article 245(2), a law of Parliament is not invalid because it operates outside India. In *GVK Industries Ltd. v. Income Tax Officer* (2011) 4 SCC 36, a Constitution Bench held that Parliament may legislate on extra territorial matters that have a nexus with India, but not on matters with no such nexus. This supports the deemed accrual rules in section 9, such as business connection, significant economic presence and indirect transfer.

1.5 Constitutional limits on taxation

1. **Part III:** taxing laws must respect fundamental rights (Part 3 of this unit).
2. **Article 276:** the total tax on professions, trades and employments payable by one person to a State and its local bodies cannot exceed Rs. 2,500 a year. Section 19(1) (Table, Sl. No. 1) allows a deduction for it from salary.
3. **Articles 285 and 289:** Union property is exempt from State taxes unless Parliament provides otherwise; the property and income of a State are exempt from Union taxes, but the Union may tax a trade or business carried on by a State (Article 289(2)).
4. **Article 286:** States cannot tax sales outside the State or in the course of import or export.
5. **Articles 301 to 304:** trade, commerce and intercourse throughout India must be free, subject to Articles 302 to 304.

2. Distribution of Revenues and Centre State Financial Relations

2.1 The main Articles

1. **Articles 268, 269 and 269A:** certain duties are collected and kept by the States; taxes on inter State sales and consignments are collected by the Union but assigned to the States; GST on inter State supplies is apportioned between the Union and the States on the recommendations of the GST Council.
2. **Article 270:** all taxes in the Union List, except those under Articles 268, 269 and 269A, surcharges under Article 271 and any cess for specific purposes, are levied and collected by the Union and shared with the States. Income tax and corporation tax are shared under this Article.
3. **Article 271:** surcharges on taxes for Union purposes belong wholly to the Union.
4. **Articles 275 and 282:** statutory grants in aid to States in need, and discretionary grants for any public purpose.
5. **Article 279:** "net proceeds" means proceeds less the cost of collection, as certified by the Comptroller and Auditor General.
6. **Articles 279A, 280 and 281:** the GST Council, the Finance Commission, and the laying of its recommendations before Parliament.

2.2 The divisible pool

Originally only income tax was compulsorily shared (Article 270), and Union excise duties could be shared under Article 272. The Constitution (Eightieth Amendment) Act, 2000 removed Article 272 and made all Union List taxes, with the stated exceptions, a single divisible pool, following the Tenth Finance Commission's alternative scheme of devolution.

2.3 Fiscal imbalance and its correction

The Union controls the most productive taxes, while the States carry heavy spending responsibilities in health, police, agriculture and education (vertical imbalance). States also differ in their capacity to raise revenue (horizontal imbalance). The Constitution corrects this through tax devolution under Article 270, grants under Articles 275 and 282, and borrowing within the limits of Article 293.

Because cesses and surcharges are outside the divisible pool, a larger use of them reduces the States' share of total Union revenue even when their percentage share of the pool stays the same. This is a recurring source of tension.

2.4 GST and cooperative federalism

The One Hundred and First Amendment (2016) introduced Articles 246A, 269A and 279A.

> **Union of India v. Mohit Minerals Pvt. Ltd. (Supreme Court, 19 May 2022)**

GST Council recommendations are persuasive, not binding, on Parliament and the State Legislatures, because Article 246A gives both simultaneous power. The Court described Indian federalism as a dialogue involving both cooperation and contestation.

3. Fundamental Rights and Tax Statutes

Taxing laws are subject to Part III, but courts give the legislature greater freedom in fiscal matters because taxation involves complex economic choices.

3.1 Article 14

Classification is permitted if it rests on an intelligible differentia that has a rational relation to the object of the law (*Shri Ram Krishna Dalmia v. Shri Justice S.R. Tendolkar*, AIR 1958 SC 538).

> **Kunnathat Thathunni Moopil Nair v. State of Kerala AIR 1961 SC 552**

A flat rate of land tax on all lands, whether productive or barren, with no machinery for assessment or objections, treated unequals as equals and was struck down. It was also held confiscatory.

> **Suraj Mall Mohta and Co. v. A.V. Visvanatha Sastri AIR 1954 SC 545**

A harsher procedure under the Taxation on Income (Investigation Commission) Act, 1947, for persons who could equally be dealt with under the normal procedure of the 1922 Act, was held discriminatory. Procedural provisions of tax laws are also tested under Article 14.

> **R.K. Garg v. Union of India (1981) 4 SCC 675**

The Special Bearer Bonds scheme, which gave immunity to persons investing unaccounted money, was upheld. Laws on economic activities are viewed with greater latitude than laws affecting civil rights.

> **Federation of Hotel and Restaurant Association of India v. Union of India (1989) 3 SCC 634**

The Expenditure Tax Act, 1987, which taxed expenditure in certain hotels with high room charges, was upheld. The legislature has greater freedom of classification in taxation.

3.2 Article 19

A tax is not normally an unreasonable restriction on trade under Article 19(1)(g); it becomes open to challenge only if it is confiscatory or prohibitive. In *Indian Express Newspapers (Bombay) Pvt. Ltd. v. Union of India* (1985) 1 SCC 641, the Supreme Court held that newspapers are not immune from taxation, but a tax heavy enough to curtail circulation can violate the freedom of the press under Article 19(1)(a).

3.3 Article 20 and retrospective taxation

Article 20(1) bars retrospective criminal laws, not retrospective taxes. In *Rai Ramkrishna v. State of Bihar*, AIR 1963 SC 1667, the Supreme Court held that a tax law may be retrospective, though the length and effect of the retrospective period may be relevant when its reasonableness is tested. Penal provisions, however, cannot be applied retrospectively.

3.4 Article 21 and Article 300A

Tax laws that collect personal information must satisfy the requirements of the right to privacy (*K.S. Puttaswamy*, Unit I). The right to property is now a constitutional right under Article 300A; a tax imposed by a valid law satisfies it.

3.5 Fair procedure

In *Pannalal Binjraj v. Union of India*, AIR 1957 SC 397, the power under the 1922 Act to transfer an assessee's case from one officer to another was upheld because it was given to a high authority and had to be exercised reasonably; an arbitrary transfer in a particular case could still be challenged. The corresponding power is now in section 243.

3.6 Freedom of trade (Articles 301 to 304)

In *Atiabari Tea Co. Ltd. v. State of Assam*, AIR 1961 SC 232, a tax that directly restricted the movement of trade was held to be hit by Article 301. *Automobile Transport (Rajasthan) Ltd. v. State of Rajasthan*, AIR 1962 SC 1406, excluded regulatory measures and compensatory taxes. In *Jindal Stainless Ltd. v. State of Haryana* (2017) 12 SCC 1, a nine judge bench held that non discriminatory taxes do not offend Article 301 and rejected the compensatory tax test; discrimination against goods from other States remains barred by Article 304(a).

4. Finance Commission and NITI Aayog

4.1 The Finance Commission

Under Article 280, the President constitutes a Finance Commission every fifth year or earlier, with a Chairman and four other members. The Finance Commission (Miscellaneous Provisions) Act, 1951 lays down their qualifications and gives the Commission certain powers of a civil court. Under Article 280(3) it recommends:

1. the distribution of the net proceeds of shareable taxes between the Union and the States, and their allocation among the States (vertical and horizontal devolution);
2. the principles governing grants in aid under Article 275;
3. measures to augment the Consolidated Fund of a State to supplement the resources of Panchayats and Municipalities (added by the Seventy Third and Seventy Fourth Amendments, 1992); and
4. any other matter referred to it by the President in the interests of sound finance.

Under Article 281, the President lays every recommendation before Parliament with an explanatory memorandum of the action taken. The Commission's recommendations are advisory, but those on tax devolution have in practice been accepted.

4.2 The Fifteenth and Sixteenth Finance Commissions

1. The **Fifteenth Finance Commission** (chaired by N.K. Singh) fixed the States' share at 41% of the divisible pool, down from 42% because Jammu and Kashmir became Union territories. For

distribution among States it used income distance (45%), population as per the 2011 Census (15%), area (15%), forest and ecology (10%), demographic performance (12.5%) and tax and fiscal efforts (2.5%).

2. The **Sixteenth Finance Commission** was constituted on 31 December 2023 under the chairmanship of Arvind Panagariya. It submitted its report to the President on 17 November 2025, and the report was laid in Parliament with the Union Budget on 1 February 2026.
3. The Sixteenth Commission kept the States' share at **41%** for its award period from 1 April 2026 to 31 March 2031, and the Union accepted this recommendation.

4.3 NITI Aayog

NITI Aayog (National Institution for Transforming India) was set up by a Union Cabinet resolution with effect from 1 January 2015, replacing the Planning Commission. It is neither a constitutional nor a statutory body. The Prime Minister is its Chairperson; it has a Vice Chairperson, full time and ex officio members and a Chief Executive Officer, and its Governing Council includes the Chief Ministers of all States and of Union territories with legislatures. It acts as a policy think tank, promotes cooperative federalism and ranks States on development indices, but, unlike the Planning Commission, it does not allocate funds to States. Five Year Plans ended with the Twelfth Plan in 2017.

4.4 The two bodies compared

1. **Basis:** the Finance Commission is constitutional (Article 280); NITI Aayog is executive.
2. **Function:** the Finance Commission recommends sharing of taxes and grants; NITI Aayog advises on policy.
3. **Money:** Finance Commission recommendations govern large formula based transfers; NITI Aayog transfers no funds.
4. **Tenure:** each Finance Commission covers an award period, usually five years; NITI Aayog is a standing body.

5. Interpretation of Tax Statutes

5.1 Strict construction of the charge

In *Partington v. Attorney General* (1869) LR 4 HL 100, Lord Cairns said that a person within the letter of the law must be taxed however great the hardship, and a person not within the letter is free however much he seems to be within its spirit. In *Cape Brandy Syndicate v. IRC* [1921] 1 KB 64, Rowlatt J. said that in a taxing Act one looks only at what is clearly said: "there is no equity about a tax", nothing is to be read in and nothing implied. The Supreme Court adopted this approach in *A.V. Fernandez v. State of Kerala*, AIR 1957 SC 657: no tax can be imposed by inference or analogy.

5.2 Benefit of a real doubt

If a charging provision is reasonably capable of two constructions, the one favouring the assessee is adopted (*CIT v. Vegetable Products Ltd.* (1973) 1 SCC 442; [1973] 88 ITR 192 (SC)). This applies only to genuine ambiguity.

5.3 The charge must be complete

The charging provision must clearly identify the subject, the person, the rate and the measure; courts cannot fill gaps (*Mathuram Agrawal v. State of Madhya Pradesh* (1999) 8 SCC 667). The charging section and the computation provisions form one code, so where the computation provisions cannot apply, the charge fails (*CIT v. B.C. Srinivasa Setty* (1981) 2 SCC 460, on self generated goodwill).

5.4 Exemptions and incentives

A Constitution Bench in *Commissioner of Customs (Import), Mumbai v. Dilip Kumar and Co.* (2018) 9 SCC 1 held that exemptions are construed strictly, the burden is on the person claiming them, and ambiguity in an exemption benefits the Revenue. On the other hand, an incentive provision meant to promote growth is construed liberally to advance its object (*Bajaj Tempo Ltd. v. CIT* (1992) 3 SCC 78; [1992] 196 ITR 188 (SC)). Together: whether a person falls within an exemption is decided strictly, but once he does, the provision is applied fairly. This matters under the 2025 Act, where most exemptions are in Schedules II to VII with their own conditions.

5.5 Purposive construction

In *K.P. Varghese v. Income Tax Officer* (1981) 4 SCC 173; [1981] 131 ITR 597 (SC), a literal reading of section 52(2) of the 1961 Act would have taxed honest sellers on notional consideration. The Court read it as applying only where consideration was understated, relying on its purpose and the Finance Minister's speech.

5.6 Substance, avoidance and retrospectivity

Courts look at the true nature of a transaction, not its label (Liberty Cinema, Unit I), and tax avoidance is now governed by the General Anti Avoidance Rule (Chapter XI). In *CIT v. Vatika Township (P) Ltd.* (2015) 1 SCC 1, a Constitution Bench held that a provision imposing a new burden is presumed prospective unless made retrospective expressly or by necessary implication, though a truly clarificatory or curative provision may operate retrospectively.

5.7 Circulars and treaties

CBDT circulars bind the department even when they relax the law in the assessee's favour (*UCO Bank v. CIT* (1999) 4 SCC 599), but they do not bind the assessee or the courts, and a circular contrary to the statute cannot prevail (*Commissioner of Central Excise v. Ratan Melting and Wire Industries* (2008) 13 SCC 1). Section 536(2)(j) continues circulars and notifications issued under the 1961 Act so far as they are consistent with the 2025 Act. Section 159 provides for double taxation agreements, and a notified treaty provision more beneficial to the assessee can prevail over the Act (*Azadi Bachao Andolan*, Unit I).

5.8 Reading the 2025 Act

1. **A consolidating and amending Act.** Where the new words are substantially the same as the old, decisions under the 1961 Act remain good guidance; where the words have changed, the change must be given effect.
2. **Repeal and savings.** Section 536(2) preserves the previous operation of the 1961 Act, accrued rights and liabilities, and pending proceedings, and section 536(4) applies section 6 of the General Clauses Act, 1897 to the repeal.
3. **Old years.** A reference to a tax year beginning on 1 April 2025 or earlier is read as the corresponding previous year under the 1961 Act (section 536(3)).
4. **Tables and Notes.** Conditions in Tables must be read with the Notes below them, just as a section is read with its definitions.

> **Exam focus.** Begin with strict construction of the charge (Cape Brandy Syndicate, A.V. Fernandez), then the refinements: benefit of real doubt (Vegetable Products), exemptions and incentives (Dilip Kumar and Bajaj Tempo), purposive reading (K.P. Varghese) and prospectivity (Vatika Township). End with how consolidation affects the use of old precedents.

Practice Questions for Unit II

1. Explain the distribution of taxing powers between the Union and the States. Why are taxing entries separate from general entries?
2. "Parliament defines agricultural income, but the States tax it." Explain with reference to Articles 366(1) and 274 and Entry 46 of List II.
3. Discuss the role of the Finance Commission with reference to the Fifteenth and Sixteenth Finance Commissions. How do cesses and surcharges affect the States?
4. To what extent are taxing statutes subject to Articles 14 and 19? Discuss with cases.
5. "There is no equity about a tax." Explain the rule of strict interpretation and its limits, including the treatment of exemptions.

Unit III: Introduction to the Income Tax Act, 2025

1. Overview of the Income Tax Act, 2025

1.1 Why a new Act

The 1961 Act had been amended almost every year for six decades and had become hard to read because of long provisos, many Explanations, lettered sections and obsolete provisions. The 2025 Act aims to simplify the language and structure of the law rather than to change tax policy fundamentally. Its long title describes it as an Act to consolidate and amend the law relating to income tax. It is Act 30 of 2025, received assent on 21 August 2025 and came into force on 1 April 2026 (section 1(3)).

1.2 Structure

The Act has 23 Chapters, 536 sections and 16 Schedules. The Chapters most relevant to this course are Chapter I (preliminary, sections 1 to 3), Chapter II (basis of charge, sections 4 to 10), Chapter III (incomes not forming part of total income, sections 11 and 12), Chapter IV (computation of total income, sections 13 to 95, divided into Parts for the heads: salaries in sections 15 to 19, house property in sections 20 to 25, business or profession in sections 26 to 66, capital gains in sections 67 to 91, and other sources in sections 92 to 95), Chapter V (income of other persons included in the assessee's income, sections 96 to 100), Chapter VI (aggregation of income, sections 101 to 107), Chapter VII (losses, sections 108 to 121), Chapter VIII (deductions, sections 122 to 154) and Chapter XIII (determination of tax in special cases, including the new regime in section 202). Procedure, appeals, collection, penalties and prosecution follow in Chapters XIV to XXII, and Chapter XXIII (miscellaneous) contains the rule making power (section 533) and repeal and savings (section 536).

The Schedules carry much of the detail. Schedule I sets conditions for certain activities not to constitute a business connection in India (section 9(12)). Schedules II to VI list incomes not included in total income, and Schedule VII lists persons exempt from tax (section 11). Schedule VIII covers political parties and electoral trusts. The remaining Schedules deal with specific matters, such as development accounts for tea, coffee and rubber (Schedule IX), recognised provident funds (Schedule XI), insurance business (Schedule XIV) and items qualifying for deduction under section 123 (Schedule XV).

1.3 Main design features

1. **One tax year** (section 3) replaces the "previous year" and "assessment year" of the 1961 Act.
2. **Exemptions in Schedules** (section 11) replace the long section 10 of the 1961 Act.
3. **Retirement benefits** such as gratuity, commuted pension and leave encashment are now deductions in the Table in section 19, not exemptions.
4. **Tables and formulae** set out conditions and computations (for example, sections 19, 31, 41(1)(c), 58 and 202).
5. **Relocation:** the method of accounting is now section 276; deduction of tax at source is in sections 392 and 393; charitable and religious institutions are dealt with as registered non profit organisations (sections 332 to 355).
6. **Codified positions:** for example, section 14(3) (disallowance even where no exempt income is earned), section 26(4) (letting of a residential house is house property income), section 33(7) (depreciation applies whether or not claimed) and section 34(3)(b) (benefits whose acceptance breaches the recipient's conduct rules).

1.4 Rules and amendments

The Income Tax Rules, 2026 were notified under section 533 by Notification No. 22/2026, G.S.R. 198(E), dated 20 March 2026, and came into force on 1 April 2026. Many figures, such as the house rent allowance formula and perquisite values, are in the Rules.

The text used here includes amendments by the Finance Act, 2026 (Act 4 of 2026) and Act 21 of 2026. Those relevant to this course include: the interest limit for self occupied houses in section 22(2) now covers pre construction interest as well; section 29(1)(e) now allows employees' provident fund contributions credited by the due date of the return; section 195 now taxes unexplained income at 30% instead of 60%, and the penalty in section 443 has been omitted; and buy back payments have been removed from the definition of dividend in section 2(40).

1.5 Transition from the 1961 Act

1. The previous operation of the 1961 Act and accrued rights and liabilities are preserved (section 536(2)(a) and (b)).
2. Proceedings for any tax year beginning before 1 April 2026, whether pending or started later, continue under the procedure of the 1961 Act (section 536(2)(c)).
3. Options exercised and circulars or notifications issued under the 1961 Act continue so far as consistent (section 536(2)(f) and (j)), and brought forward losses carry over (section 536(2)(m) and (n)).
4. A reference to a tax year beginning on 1 April 2025 or earlier is read as the corresponding previous year under the 1961 Act (section 536(3)).

2. Income and Receipt

2.1 The statutory definition

Section 2(49) says that "income" **includes** a list of items. The word "includes" enlarges the ordinary meaning: anything that is income in the ordinary sense is income even if not listed, and the listed items are income even if they would not otherwise be. The list includes:

1. profits and gains, dividends, and voluntary contributions received by registered non profit organisations and certain institutions;
2. perquisites and profits in lieu of salary (sections 17 and 18), special allowances for duties, and allowances for personal expenses or cost of living;
3. benefits obtained from a company by a director or a person with a substantial interest, or their relatives;
4. capital gains (section 67) and special business receipts under sections 26(2) and 38;
5. profits of mutual insurance companies and cooperative insurance, and of banking by cooperative societies with their members (clauses (l) and (m));
6. winnings from lotteries, crossword puzzles, races, card games and other games, gambling and betting;
7. employees' contributions to welfare funds received by an employer, and sums under a Keyman insurance policy;
8. gifts and property received without or for inadequate consideration (section 92(2)(m)) and compensation connected with termination of employment (section 92(2)(j)); and

9. any subsidy, grant, incentive, duty drawback, waiver or reimbursement from a government or authority (clause (w)), except a subsidy that reduces the actual cost of an asset under section 39 and a Central Government corpus grant to a government trust or institution.

2.2 The judicial meaning of income

1. *Navinchandra Mafatlal v. CIT*, AIR 1955 SC 58: "income" in a legislative entry must be given its widest meaning; capital gains could be taxed as income.
2. *CIT v. G.R. Karthikeyan*, 1993 Supp (3) SCC 222; [1993] 201 ITR 866 (SC): a prize won in a motor rally was income in the ordinary sense; the inclusive definition does not cut down the natural meaning of income.
3. *Emil Webber v. CIT* (1993) 2 SCC 386; [1993] 200 ITR 483 (SC): tax paid by an employer on an employee's salary is the employee's income.

2.3 Receipts that are not income

1. **Capital receipts**, unless a provision taxes them (such as capital gains, or compensation under section 26(2)(b), (c) and (h)).
2. **Gifts**, except as taxed by section 92(2)(m), which taxes, among other things, sums of money received without consideration where the total in a tax year exceeds Rs. 50,000.
3. **Loans and deposits**, though an unexplained credit can be taxed under section 102.
4. **Reimbursements**, such as special allowances for official duties to the extent actually spent (Schedule III, Sl. No. 12).
5. **Amounts diverted at source** by an overriding title (Part 3 below) and **genuinely mutual surpluses** (Part 4 below).

2.4 Capital and revenue receipts

No single test decides the question. The courts ask whether the receipt arose from the fixed capital (the profit making structure) or the circulating capital (stock in trade), and whether it compensates for the loss of a source of income or only for loss of income from a source that continues.

Kettlewell Bullen and Co. Ltd. v. CIT AIR 1965 SC 65; [1964] 53 ITR 261 (SC)

The assessee company, which held managing agencies of several companies, received compensation for surrendering the managing agency of Fort William Jute Co. The Supreme Court held it to be a capital receipt, because the agency was a capital asset forming part of the assessee's business structure and was not given up in the ordinary course of business.

Section 26(2)(b) now taxes as business income compensation received in connection with the termination or modification of a management, agency or business contract, so Kettlewell Bullen matters today mainly for its test. For subsidies, the earlier purpose test (*Sahney Steel and Press Works Ltd. v. CIT* [1997] 228 ITR 253 (SC): subsidies to run a business are revenue; *CIT v. Ponni Sugars and Chemicals Ltd.* [2008] 306 ITR 392 (SC): a subsidy to repay loans for expansion is capital) now has a narrow role, because section 2(49)(w) treats most subsidies as income.

2.5 Real income

Income tax is levied on real, not hypothetical, income.

CIT v. Shoorji Vallabhdas and Co. AIR 1962 SC 1281; [1962] 46 ITR 144 (SC)

Managing agents agreed, before the year ended, to accept a lower commission. Only the reduced commission was taxable. If income does not really result, there is no tax, even if a book entry shows hypothetical income.

State Bank of Travancore v. CIT (1986) 2 SCC 11; [1986] 158 ITR 102 (SC)

Interest on doubtful loans that had accrued under the mercantile system was taxable even though credited to a suspense account. The real income theory cannot override the statutory scheme; the remedy is a bad debt deduction if the loan is later lost.

Godhra Electricity Co. Ltd. v. CIT (1997) 4 SCC 530; [1997] 225 ITR 746 (SC)

Enhanced charges that consumers disputed and never paid were not real income of the company, even under the mercantile system.

3. Application and Diversion of Income

1. **Diversion by overriding title:** if a legal obligation diverts income at its source, so that it never becomes the assessee's income, it is not taxable in his hands.
2. **Application of income:** if income first becomes the assessee's and he is then obliged to pay part of it to another, the payment is an application of his own income and is taxable in his hands.

Raja Bejoy Singh Dudhuria v. CIT (1933) 1 ITR 135 (PC)

Maintenance payable to the assessee's stepmother under a decree, and charged on his estate, was diverted at source and was not his income.

CIT v. Sitaldas Tirathdas AIR 1961 SC 728; [1961] 41 ITR 367 (SC)

Maintenance payable to the assessee's wife and children under a decree, but not charged on his income or property, was an application of income. The true test is whether the amount, in truth, never reached the assessee as his income.

CIT v. Sunil J. Kinariwala (2003) 1 SCC 660; [2003] 259 ITR 10 (SC)

A partner assigned part of his share of the firm's profits to a trust. The share first became his income and was then applied, so the whole share was taxable in his hands.

The Act also prevents diversion by mere arrangement: income transferred without transferring the asset that produces it remains the transferor's income (section 96), and income from a revocable transfer of assets is also taxed in the transferor's hands (section 97).

4. Doctrine of Mutuality

A person cannot make a profit out of himself. If members contribute to a common fund for their mutual benefit, and any surplus can only be spent on them or returned to them, the surplus is not income. The doctrine originated in *New York Life Insurance Co. v. Styles* (1889) 14 App Cas 381.

Bangalore Club v. CIT (2013) 5 SCC 509; [2013] 350 ITR 509 (SC)

The Supreme Court laid down three conditions: complete identity between contributors and participants; actions of the contributors and participants in furtherance of the mandate of the association; and no scope for profiteering by contributors from a fund that can only be spent on or returned to them. Interest earned by the club on deposits with banks that were its corporate members was held taxable, because the money went out of the closed circle of members into commercial lending.

CIT v. Royal Western India Turf Club Ltd. AIR 1954 SC 85; [1953] 24 ITR 551 (SC)

A club that carried on the business of conducting races and served members and non members alike could not claim mutuality.

Chelmsford Club v. CIT (2000) 3 SCC 214; [2000] 243 ITR 89 (SC)

A club providing facilities only to its members, with any surplus usable only for them, was entitled to the benefit of mutuality.

Statutory limits. Section 2(49)(l) and (m) tax profits of mutual insurance companies and cooperative insurance, and of banking by cooperative societies with their members. Section 26(2)(d) taxes the income of trade, professional and similar associations from specific services to members. Section 50 allows such an association a deduction where its receipts from members fall short of its expenditure for their common interest, limited to 50% of total income.

5. Accrual, Arisal and Receipt

5.1 The statutory basis

Section 5 fixes the scope of total income by reference to income received or deemed received in India, income accruing or deemed to accrue in India, and income accruing outside India. Residents are taxed on all three, subject to the limit for those not ordinarily resident in section 5(1)(c). Non residents are taxed only on the first two (section 5(2)). Income accruing outside India is not received in India merely because it appears in a balance sheet prepared in India (section 5(3)), and income taxed on accrual is not taxed again on receipt (section 5(4)).

5.2 When income accrues

E.D. Sassoon and Co. Ltd. v. CIT AIR 1954 SC 470; [1954] 26 ITR 27 (SC)

Managing agents transferred their agencies during the year, and their commission was payable only at the end of the year. The Supreme Court held that income accrues when the assessee acquires a right to receive it, so that it becomes a debt due to him. No commission had accrued to the transferors before the transfer. "Accrue" and "arise" are used in contrast to "receive": income is received when it reaches the assessee, and accrues when the right to it vests in him.

CIT v. Toshoku Ltd. [1980] 125 ITR 525 (SC)

Commission earned by a non resident for services outside India and credited in the books of an Indian company was neither received in India (a book credit is not receipt) nor accrued in India.

5.3 Deemed receipt: section 7

The taxable accretion and transferred balance in a recognised provident fund, and the employer's contribution to the pension scheme under section 124, are deemed received in the tax year (section 7(1)). A dividend is income of the year in which it is declared, distributed or paid, and an interim dividend of the year in which it is unconditionally made available (section 7(2)).

5.4 Deemed accrual in India: section 9

1. **General rule (section 9(2)):** income accruing directly or indirectly through or from any asset, source or property in India, any business connection in India, or the transfer of a capital asset situated in India. "Through" includes "by means of", "in consequence of" and "by reason of" (section 9(13)).

2. **Salaries (section 9(3)):** salary for services rendered in India (including related rest or leave periods), and salary paid by the Government to an Indian citizen for services outside India.
3. **Dividends (section 9(4)):** dividends paid by an Indian company outside India.
4. **Interest, royalty and fees for technical services (section 9(5) to (7)):** payable by the Government, by a resident (unless used for business or income outside India), or by a non resident where used for business or income in India. Under section 9(11), these are taxable whether or not the non resident has a residence, place of business or business connection in India, and whether or not he rendered the services in India.
5. **Gifts (section 9(8)):** sums of the kind in section 2(49)(u) paid by a resident to a non resident or to a person not ordinarily resident.
6. **Business connection (section 9(9)):** includes business through a dependent agent who habitually concludes contracts, keeps stock for delivery or secures orders for the non resident, and a **significant economic presence** (transactions above a prescribed amount or systematic interaction with a prescribed number of users in India). Business through an independent agent, and purchases of goods in India for export, are excluded.
7. **Indirect transfers (section 9(10)):** shares of a foreign company are deemed situated in India if their value is derived substantially from Indian assets, that is, Indian assets exceed Rs. 10 crore and form at least 50% of total assets. Small shareholders holding 5% or less without management rights are excluded.

> **CIT v. R.D. Aggarwal and Co. AIR 1965 SC 1526; [1965] 56 ITR 20 (SC)**

A business connection requires a real and intimate relation between the non resident's activity outside India and an activity in India that contributes to earning the income, with an element of continuity. A stray or isolated transaction is not normally a business connection.

> **Ishikawajima Harima Heavy Industries Ltd. v. Director of Income Tax (2007) 3 SCC 481**

Income from offshore supply of equipment for an Indian project, with title passing outside India, was not taxable in India, and fees for services rendered outside India needed a sufficient territorial nexus. Parliament responded with the rule now in section 9(11).

5.5 Method of accounting

Business income and income from other sources are computed under the cash or mercantile system regularly employed by the assessee, subject to the notified Income Computation and Disclosure Standards (section 276(1) and (2)). If the accounts are unreliable, the method is not regularly followed or the standards are ignored, the Assessing Officer may make a best judgment assessment under section 271 (section 276(3)). Salary has its own timing rule: due or receipt, whichever is earlier (section 15).

6. Assessment Year, Previous Year and Tax Year

6.1 The old position

Under the 1961 Act, income of the **previous year** (the financial year in which it was earned) was assessed in the following **assessment year** at the rates for that assessment year. Income earned from 1 April 2024 to 31 March 2025 was assessed in the assessment year 2025 to 2026. Exceptions taxed income in the year of earning, for example in the case of non resident shipping businesses, persons leaving India and discontinued businesses.

6.2 The tax year

1. **Section 3(1):** "tax year" means the twelve month period of the financial year beginning on 1 April.
2. **Section 3(2):** for a business or profession newly set up, or a new source of income, the tax year begins on the date of setting up or the date the source comes into existence and ends with that financial year. For example, a lawyer who starts practice on 15 September 2026 has a first tax year from 15 September 2026 to 31 March 2027.
3. Section 4 charges tax for the tax year at the rates fixed by the Finance Act on the total income of the tax year. The phrase "assessment year" does not appear in the 2025 Act at all.
4. Where the Act charges income of another period, it is charged accordingly (section 4(4)); examples are sections 316 (shipping business of non residents), 317 (persons leaving India) and 320 (discontinued business).

6.3 The changeover

Income earned from 1 April 2025 to 31 March 2026 remains under the 1961 Act (previous year 2025 to 2026, assessment year 2026 to 2027). The first tax year under the 2025 Act runs from 1 April 2026 to 31 March 2027. Section 536(2)(c) and (3) govern the transition (Part 1.5 above).

7. Agricultural Income

7.1 Why it is special

Parliament taxes income other than agricultural income (Entry 82, List I); the States tax agricultural income (Entry 46, List II); and Article 366(1) adopts the income tax definition. Section 2(5) of the 2025 Act therefore fixes the boundary. Agricultural income is excluded from total income by section 11 read with Schedule II, Sl. No. 1, without any conditions.

7.2 Section 2(5)

"Agricultural income" means:

(a) any rent or revenue derived from land situated in India and used for agricultural purposes;

(b) any income derived from such land by:

(i) agriculture;

(ii) a process ordinarily employed by a cultivator or receiver of rent in kind to make the produce fit to be taken to market; or

(iii) the sale by a cultivator or receiver of rent in kind of produce on which no other process has been performed;

(c) income from a farm building on or near the land, required by the cultivator or receiver of rent as a dwelling house, store house or out building because of his connection with the land, where the land is assessed to land revenue or a local rate or, if not so assessed, is not in an urban area described in section 2(22)(iii)(A) or (B); and

(d) income derived from saplings or seedlings grown in a nursery.

It excludes income from such a building or land used for any other purpose (such as letting for residence or business), and income from transferring urban agricultural land.

Urban land. Agricultural land is not a "capital asset" (section 2(22)(iii)) unless it lies within a municipality or cantonment board with a population of at least ten thousand, or within 2, 6 or 8 kilometres of its limits, depending on whether its population is up to one lakh, up to ten lakh, or more. The sale of rural agricultural land therefore gives no taxable capital gain.

7.3 Meaning of agriculture

CIT v. Raja Benoy Kumar Sahas Roy AIR 1957 SC 768; [1957] 32 ITR 466 (SC)

"Agriculture" requires basic operations on the land itself, such as tilling, sowing and planting, involving human skill and labour. Subsequent operations (weeding, pruning, protection) count only when they follow basic operations. Income from a forest of spontaneous growth was therefore not agricultural income. On the same reasoning, dairy and poultry farming are generally not agriculture.

Mrs. Bacha F. Guzdar v. CIT AIR 1955 SC 74; [1955] 27 ITR 1 (SC)

Dividends from a company owning tea estates are not agricultural income in the shareholder's hands. Income "derived from" land requires a direct and immediate relation with the land.

7.4 Composite income and partial integration

Where the same person grows and processes a crop, the Rules split the income. Under Rule 271 of the Income Tax Rules, 2026 (formerly Rules 7A, 7B and 8 of the 1962 Rules), the taxable business portion is 35% for rubber, 25% for coffee grown and cured, 40% for coffee grown, cured, roasted and ground, and 40% for tea grown and manufactured. The rest is agricultural income.

Agricultural income is exempt, but for certain assessees it is used to fix the rate on non agricultural income (partial integration). The method is laid down in the Finance Act of each year, which section 405(2) recognises. Under the Finance Acts of the 1961 regime, it applied to individuals, Hindu undivided families and similar persons with net agricultural income above Rs. 5,000 and non agricultural income above the exemption limit: tax is computed on the two incomes together, then on agricultural income plus the exemption limit, and the difference is payable. Confirm the method in the current Finance Act.

8. Basis of Charge

Section 4 charges income tax for each tax year at the rates enacted by a Central Act (the Finance Act), on the total income of the tax year of every person, in accordance with the Act (section 4(1) and (2)). Income tax includes any additional income tax (section 4(3)), and it is collected through deduction or collection at source and advance tax (section 4(5)).

Rates under the new regime (section 202(1)), for individuals, Hindu undivided families, associations of persons (other than cooperative societies), bodies of individuals and artificial juridical persons, unless they opt out: nil up to Rs. 4,00,000; 5% from Rs. 4,00,001 to Rs. 8,00,000; 10% to Rs. 12,00,000; 15% to Rs. 16,00,000; 20% to Rs. 20,00,000; 25% to Rs. 24,00,000; and 30% above that.

Rebate (section 156): under the new regime, a resident individual with total income up to Rs. 12,00,000 gets a rebate of the full tax or Rs. 60,000, whichever is less, with marginal relief just above that level; in other cases, the rebate is the full tax or Rs. 12,500, whichever is less, where total income does not exceed Rs. 5,00,000. Surcharge and cess are imposed by the Finance Act.

9. Residence

9.1 Individuals

An individual is **resident** in a tax year if he is in India for 182 days or more in that year, or for 60 days or more in that year and 365 days or more in the four preceding years (section 6(2)). The 60 day condition does not apply to:

1. an Indian citizen leaving India in the year as a crew member of an Indian ship or for employment abroad (section 6(3)); or

2. an Indian citizen or person of Indian origin visiting India (section 6(4)), except that if his income other than income from foreign sources exceeds Rs. 15,00,000, the condition applies with 120 days in place of 60 (section 6(5)).

An Indian citizen who is not liable to tax in any other country because of domicile or residence, and whose income other than from foreign sources exceeds Rs. 15,00,000, is **deemed resident** (section 6(7)), unless already resident (section 6(8)).

A resident is **not ordinarily resident** (section 6(13)) if he (or the manager of a Hindu undivided family) was non resident in nine of the ten preceding years, or was in India for 729 days or less in the seven preceding years; or if he is a citizen or person of Indian origin with such income above Rs. 15,00,000 who stayed 120 days or more but less than 182 days; or if he is a deemed resident citizen.

9.2 Other persons

1. **Hindu undivided family, firm or association of persons:** resident unless the control and management of its affairs is situated **wholly** outside India (section 6(9)). Even partial control exercised in India therefore makes it resident.
2. **Company:** resident if it is an Indian company or its place of effective management is in India, meaning the place where key management and commercial decisions for the business as a whole are in substance made (section 6(10)).
3. **Every other person:** resident unless control and management is wholly outside India (section 6(11)). A person resident for one source is resident for all sources (section 6(12)).

V.V.R.N.M. Subbayya Chettiar v. CIT AIR 1951 SC 101; [1951] 19 ITR 168 (SC)

"Control and management" means the controlling and directive power, "the head and brain" as it is sometimes called, and "situated" implies that this power functions at a place with some degree of permanence. On the facts, the family had not shown that its control and management was wholly outside India, so it was held resident.

CIT v. Nandlal Gandalal [1960] 3 SCR 620

Control and management means de facto control and management, not merely the legal right to control or manage.

The place of effective management test draws on the English "central management and control" test in *De Beers Consolidated Mines Ltd. v. Howe* [1906] AC 455.

9.3 Effect on scope of income

1. **Resident and ordinarily resident:** income received or deemed received in India, accruing or deemed to accrue in India, and accruing outside India.
2. **Not ordinarily resident:** the first two, and foreign income only if derived from a business controlled in or a profession set up in India.
3. **Non resident:** only income received or deemed received in India, or accruing or deemed to accrue in India.

Example. Ravi, an Indian citizen working abroad, visits India for 130 days and has Indian rental income of Rs. 18,00,000. Because that income exceeds Rs. 15,00,000, the 120 day version applies to him, so he is resident if he was in India for 365 days or more in the four preceding years. He is then not ordinarily resident under section 6(13)(b), since his stay was 120 days or more but less than 182 days.

10. Person

Section 2(77) says that "person" includes an individual, a Hindu undivided family, a company, a firm, an association of persons or a body of individuals (incorporated or not), a local authority, and every other artificial juridical person. An association, body, local authority or artificial juridical person is a person whether or not formed to earn income.

1. **Individual:** a natural person, including a minor or a person of unsound mind, assessed through a representative where necessary.
2. **Hindu undivided family:** carries its Hindu law meaning and is a person separate from its members. Joint family property remains such even if held for the time being by a sole male coparcener with female members (*Gowli Buddanna v. CIT*, AIR 1966 SC 1523), and a family of a father, mother and minor daughters holding ancestral property is assessable as such (*N.V. Narendranath v. Commissioner of Wealth Tax* (1969) 1 SCC 748). Since the Hindu Succession (Amendment) Act, 2005, daughters are coparceners by birth (*Vineeta Sharma v. Rakesh Sharma* (2020) 9 SCC 1). Section 99(3) taxes in the individual's hands income from separate property converted into family property without adequate consideration.
3. **Company:** includes Indian companies, foreign bodies corporate and bodies declared by the Board to be companies (section 2(28)). An Indian company is one formed and registered under Indian company law, or a statutory corporation, with its registered or principal office in India (section 2(53)).
4. **Firm:** as defined in section 4 of the Indian Partnership Act, 1932, including a limited liability partnership (section 2(45)).
5. **Association of persons:** two or more persons who join in a common purpose or common action whose object is to produce income; merely receiving income jointly is not enough (*CIT v. Indira Balkrishna*, AIR 1960 SC 1172; [1960] 39 ITR 546 (SC)). A body of individuals consists of individuals only. Co owners with definite shares are not assessed as an association of persons (section 24(1)).
6. **Local authority and artificial juridical person:** municipalities and panchayats are local authorities; an artificial juridical person is the residual category for other legal persons.

11. Assessee

Section 2(11) defines "assessee" as a person by whom any tax or other sum is payable under the Act, and includes every person in respect of whom proceedings have been taken for assessing his own income, loss or refund or that of another person, every person deemed to be an assessee, and every person deemed to be an assessee in default. Examples are representative assessees such as a guardian or the agent of a non resident (sections 303 to 306), legal representatives (section 302), and a payer who fails to deduct tax at source or to pay it over (section 398(2)). Every assessee is a person, but a person becomes an assessee only when tax is payable by him, proceedings are taken in respect of him, or the Act deems him to be one.

12. Exemptions and Deductions

12.1 Three kinds of relief

1. **Exemption:** the income is not included in total income at all (sections 11 and 12 with Schedules II to VIII).
2. **Deduction:** an amount subtracted while computing income, either under a head (section 19 for salaries, section 22 for house property, sections 28 to 52 for business) or from gross total income under Chapter VIII (sections 122 to 154).

3. **Rebate and relief:** a reduction of the tax itself, such as the rebate under section 156 and relief for arrears of salary under section 157.

12.2 Exemptions

Section 11(1) excludes from total income the incomes listed in Schedules II to VI, subject to their conditions; if the conditions are not met, the income is taxed (section 11(2)). The persons in Schedule VII are not chargeable on their total income while they meet the conditions (section 11(3) and (4)). Schedule II covers general items (such as agricultural income, life insurance sums and payments from statutory provident funds), and Schedule III covers items for eligible persons (such as sums received by a member from a Hindu undivided family, a partner's share of firm profits, house rent allowance and leave travel concession).

12.3 Expenditure relating to exempt income: section 14

No deduction is allowed for expenditure incurred in relation to income that is not part of total income (section 14(1)). If the Assessing Officer is not satisfied with the assessee's claim, he determines the amount by the prescribed method (section 14(2)), and the rule applies even if no exempt income is earned in that year (section 14(3)). In *Maxopp Investment Ltd. v. CIT* (2018) 15 SCC 523; [2018] 402 ITR 640 (SC), the Supreme Court held that the dominant purpose of holding shares does not avoid the disallowance, even for shares held as stock in trade, to the extent the expenditure relates to exempt income.

12.4 Deductions under Chapter VIII

Deductions are allowed from gross total income (section 122(1)), which is total income before these deductions (section 122(10)), and cannot exceed it (section 122(2)). Part C deductions require the return to be filed by the due date with the claim (section 122(5)). Part B covers payments such as life insurance and provident fund (section 123 with Schedule XV), pension scheme (section 124), health insurance (section 126), education loan interest (section 129), donations (sections 133 and 135) and rent paid (section 134). Part C covers profits of specified undertakings and incomes (sections 138 to 152), and Parts D and E cover interest on deposits (section 153) and persons with disability (section 154).

Under the new regime (section 202(2)), most exemptions and deductions are not available, including house rent allowance, leave travel concession, tax on employment, interest on a self occupied house, and Chapter VIII deductions other than those under sections 124(1) and (2), 125(2) and 146. Exemptions are construed strictly and incentives liberally (Unit II, Part 5.4).

Practice Questions for Unit III

1. Explain the structure of the Income Tax Act, 2025 and five significant changes from the 1961 Act.
2. "Every receipt is not income." Explain with reference to section 2(49) and the distinction between capital and revenue receipts.
3. Distinguish diversion of income by overriding title from application of income, with cases.
4. State the doctrine of mutuality and its conditions. How has the 2025 Act limited it?
5. When does income accrue? Explain the deemed accrual rules in section 9 for non residents.
6. Explain the tax year under section 3 and the transition from the 1961 Act.
7. Is income from (a) a forest of spontaneous growth, (b) a nursery, (c) dividends from a tea company, and (d) sale of urban agricultural land, agricultural income? Give reasons.
8. Explain the rules of residence for individuals and companies and their effect on the scope of total income.

Unit IV: Income under the Head Salaries

1. Heads of Income

Section 13 classifies all income under five heads: Salaries (sections 15 to 19); Income from house property (sections 20 to 25); Profits and gains of business or profession (sections 26 to 66); Capital gains (sections 67 to 91); and Income from other sources (sections 92 to 95). The heads are **mutually exclusive**. Each has its own computation rules, and income that falls under a specific head must be computed under it.

> **United Commercial Bank Ltd. v. CIT AIR 1957 SC 918; [1957] 32 ITR 688 (SC)**

Interest on securities held by a bank as part of its business had to be computed under the specific head then provided for interest on securities, not as business income. Each head deals with a particular source.

> **East India Housing and Land Development Trust Ltd. v. CIT [1961] 42 ITR 49 (SC)**

Rent from shops and stalls built by a company dealing in land was taxable under the property head, whatever the object of the company.

"Income from other sources" is the residuary head: it covers income of every kind, not excluded from total income, that is not chargeable under the other four heads (section 92(1)).

2. Total Income and How It Is Computed

Total income is the income referred to in section 5, computed in the manner laid down in the Act (section 2(108)). The steps are:

1. determine residential status (section 6) and the scope of income (section 5);
2. leave out exempt income (sections 11 and 12 with the Schedules);
3. compute income under each head, with the deductions allowed under that head;
4. add the income of other persons included by sections 96 to 100 (clubbing);
5. set off losses and brought forward losses (sections 108 to 121), giving the **gross total income** (section 122(10));
6. subtract Chapter VIII deductions, unless the new regime bars them, giving the **total income**, rounded off under section 516; and
7. apply the rates (Finance Act or section 202, and special rates such as section 195), then the rebate and reliefs (sections 156 to 160), surcharge and cess, and credit for tax deducted or collected at source and advance tax.

3. Deemed Income

Deemed income is an amount that the law treats as income, or as income of a particular person or year, by a legal fiction. The main groups are these.

3.1 Deemed receipt and accrual

Section 7 deems certain amounts received in a tax year, and section 9 deems certain incomes to accrue in India (Unit III).

3.2 Clubbing of income

1. **Section 96:** income arising to a person under a transfer of income without transfer of the asset is taxed as the transferor's income, whether the transfer is revocable or not.
2. **Section 97:** income from a revocable transfer of assets is taxed as the transferor's income. This does not apply to a trust not revocable during the lifetime of the beneficiary (or another transfer not revocable during the transferee's lifetime) if the transferor derives no benefit, but the income becomes his when the power to revoke arises.
3. **Section 99(1)(a)(i):** the spouse's salary, commission, fees or other remuneration from a concern in which the individual has a substantial interest (at least 20%) is included in the individual's income, unless it is solely attributable to the spouse's technical or professional knowledge, experience and qualification. Under section 99(5)(a), such income is included in the hands of the spouse whose total income before the inclusion is greater, and once included it is not shifted to the other spouse in later years unless the Assessing Officer is satisfied after hearing that spouse.
4. **Section 99(1)(a)(ii) and (b):** income from assets transferred without adequate consideration to the spouse (except under an agreement to live apart), or to the son's wife (on or after 1 June 1973), is included in the transferor's income.
5. **Section 99(1)(c):** a minor child's income is included, except income from his own work, from activities involving his skill, talent, specialised knowledge or experience, or of a minor with a disability specified in section 154. Up to Rs. 1,500 per child of such income is excluded (Schedule III, Sl. No. 17).
6. **Section 99(3):** income from separate property converted into the property of the individual's Hindu undivided family without adequate consideration remains his income.

3.3 Unexplained income

1. **Section 102 (unexplained credits):** a sum credited in the books, whose nature and source the assessee does not satisfactorily explain, is taxed as his income. For loans, the creditor must also explain the source satisfactorily (section 102(2)); for share capital and premium of a company in which the public are not substantially interested, the resident shareholder must do so (section 102(3)); these rules do not apply to venture capital funds and companies (section 102(4)).
2. **Sections 103 to 105:** unrecorded investments, unrecorded assets (including money, bullion, jewellery and virtual digital assets) and expenditure whose source is not satisfactorily explained are deemed income; deemed unexplained expenditure is not deductible.
3. **Section 106:** amounts borrowed or repaid on a hundi or through a negotiable instrument other than an account payee cheque are deemed income.
4. **Rate:** section 195, as amended by the Finance Act, 2026, taxes such income at 30% (earlier 60%), with no deduction or set off against it. The separate penalty in section 443 has been omitted.

Kale Khan Mohammad Hanif v. CIT [1963] 50 ITR 1 (SC)

The burden is on the assessee to prove the source of a cash credit; if he fails, the amount may be treated as his income.

CIT v. Durga Prasad More [1971] 82 ITR 540 (SC)

What is apparent is ordinarily real, but the authorities may look at surrounding circumstances to find the reality and need not accept a self serving explanation.

> **Sumati Dayal v. CIT 1995 Supp (2) SCC 453; [1995] 214 ITR 801 (SC)**

A claim that large sums were winnings from horse races failed the test of human probabilities and was rightly taxed as unexplained cash credits.

4. Salary: Meaning and Chargeability

4.1 Section 15

The following is chargeable under the head "Salaries":

1. salary **due** from an employer (including a former employer) in the tax year, whether paid or not;
2. salary **paid or allowed** in the tax year, though not due or before it became due (advance salary); and
3. **arrears** of salary paid or allowed in the tax year, if not taxed earlier.

Salary taxed in advance is not taxed again when due (section 15(3)). Salary is therefore taxed on the due or receipt basis, whichever is earlier; the method of accounting under section 276 does not apply to it. Remuneration of a partner from his firm is not salary (section 15(4)).

4.2 Section 16

"Salary" includes wages; annuity or pension; gratuity; fees or commission; perquisites; profits in lieu of or in addition to salary; advance of salary; leave encashment; the taxable accretion and transferred balance in a recognised provident fund; the employer's contribution to the pension scheme under section 124; and the Central Government's contribution to the Agniveer Corpus Fund.

4.3 The employer and employee relationship

Salary arises only from a contract of service, in which the employer controls how the work is done. Payments under a contract for services give business or professional income.

> **Ram Prashad v. CIT AIR 1973 SC 637; (1972) 2 SCC 696; [1972] 86 ITR 122 (SC)**

Whether a managing director is an employee or an agent depends on the terms of his appointment and the articles of the company. A rough and ready test is whether the company exercises supervisory control over his work. On the facts, the managing director was held to be an employee, so his remuneration was salary.

> **CIT v. R.M. Chidambaram Pillai (1977) 1 SCC 431; [1977] 106 ITR 292 (SC)**

Salary paid by a firm to a partner is not salary, because a partner cannot be an employee of himself and his co partners. It is a share of profit, now taxed as business income under section 26(2)(g) to the extent allowed to the firm under section 35(e).

Further points:

1. An individual may earn salary from more than one employer in a year.
2. **Family pension** received by members of a deceased employee's family is not salary; it is income from other sources (see section 157(1)(d), which refers to its definition in section 93(1)(d)).
3. A director's remuneration is salary only if he is an employee.
4. Daily and constituency allowances of members of Parliament and State Legislatures are excluded by Schedule III, Sl. Nos. 5 to 7.

4.4 Place of accrual, waiver and relief

Salary for services rendered in India is deemed to accrue in India wherever it is paid; salary paid by the Government to an Indian citizen for services outside India is also deemed to accrue in India, but allowances and perquisites paid to him outside India by the Government are excluded (section 9(3); Schedule III, Sl. No. 9). Salary waived before it accrues is not taxable, but salary given up after it accrues is an application of income. Where arrears or advance salary, or profits in lieu of salary, push income into a higher rate, relief is available on application under section 157, except for amounts claimed as voluntary retirement compensation under section 19 (section 157(2)).

5. Perquisites

Section 17(1) says that "perquisite" includes:

> **(a)** the value of rent free accommodation, and **(b)** the value of accommodation at a concessional rate to the extent it exceeds the rent recoverable from the employee, both computed as prescribed;
>
> **(c)** the value of benefits provided free or at a concessional rate by a company to a director or employee with a substantial interest, or by any employer to an employee whose monetary salary exceeds the prescribed amount;
>
> **(d)** the value of specified securities or sweat equity shares allotted free or at a concession, being the fair market value on the date of exercise less the amount paid (section 17(4)(h));
>
> **(e)** other prescribed benefits;
>
> **(f)** any obligation of the employee paid by the employer, such as his income tax or his children's school fees;
>
> **(g)** premiums paid by the employer for life assurance or an annuity for the employee, other than through a recognised provident fund, approved superannuation fund or deposit linked insurance fund; and
>
> **(h)** the employer's contributions to the employee's recognised provident fund, pension scheme (section 124(1)) and approved superannuation fund in excess of **Rs. 7,50,000** in a year, and **(i)** the accretion on such excess.

Not perquisites (section 17(2)). Medical treatment in the employer's hospital; reimbursement of treatment in government or approved hospitals (or for prescribed diseases in approved hospitals); approved health insurance premiums paid or reimbursed by the employer; transport between residence and office; and medical treatment abroad, within the limits permitted by the Reserve Bank of India, with travel costs excluded only where the employee's gross total income is within the prescribed amount (section 17(3)). Valuation of perquisites is laid down in the Rules.

Section 2(49)(g) also taxes benefits obtained from a company by a director or a person with a substantial interest, or their relatives, whether or not they are employees.

Arun Kumar v. Union of India (2007) 1 SCC 732; [2006] 286 ITR 89 (SC)

The valuation rule for accommodation was upheld, but the Court explained that the perquisite lies in the concession, that is, the benefit of accommodation at less than its value. Section 17(1)(b) now builds this in by taxing only the excess of the prescribed value over the rent recoverable.

CIT v. Infosys Technologies Ltd. (2008) 2 SCC 272; [2008] 297 ITR 167 (SC)

Under the law then in force, the benefit of stock options subject to a lock in period was notional and not a taxable perquisite at the time of exercise. Section 17(1)(d) now taxes it specifically on the date of exercise.

CIT v. L.W. Russel AIR 1965 SC 49; [1964] 53 ITR 91 (SC)

An employer's contribution to a superannuation scheme in which the employee had no vested right was not a perquisite. Section 17(1)(h) now taxes contributions above Rs. 7,50,000 a year.

6. Profits in Lieu of Salary

Section 18(1) includes in "profits in lieu of salary":

1. compensation from an employer or former employer in connection with the **termination** of employment or the **modification** of its terms;
2. any amount received from a person **before joining** or **after leaving** employment with him; and
3. payments from an employer or from a provident or other fund (other than the employee's own contributions and interest on them), and sums under a **Keyman insurance policy**.

Section 18(2) excludes exempt payments from statutory and recognised provident funds and approved superannuation funds, and exempt house rent allowance. Compensation connected with termination of employment that is not salary is taxed as income from other sources (section 92(2)(j)).

7. Allowances and Exemptions

Every allowance is part of salary unless a Schedule entry or rule excludes it; dearness allowance, for example, is fully taxable.

7.1 House rent allowance (Schedule III, Sl. No. 11)

The allowance is excluded to the prescribed extent if it is specifically granted for rent of accommodation occupied by the employee, the accommodation is not owned by him, and he actually pays rent. Under **Rule 279** of the 2026 Rules (formerly Rule 2A), the exempt amount is the least of:

1. the allowance actually received;
2. rent paid in excess of 10% of salary; and
3. 50% of salary in Mumbai, Kolkata, Delhi, Chennai, Hyderabad, Pune, Ahmedabad or Bengaluru, and 40% elsewhere.

Hyderabad, Pune, Ahmedabad and Bengaluru were added to the 50% category from 1 April 2026. "Salary" for this purpose is defined in Rule 279; under the 1962 Rules it meant basic salary, dearness allowance forming part of retirement benefits and commission at a fixed percentage of turnover, and the current definition should be confirmed. The exemption is not available under the new regime. An employee without house rent allowance may claim the deduction for rent paid under section 134, outside the new regime.

7.2 Other exclusions

1. **Leave travel concession** (Schedule III, Sl. No. 8): travel in India on leave or after retirement, subject to prescribed conditions and limited to actual expenditure; not available under the new regime.
2. **Special allowances** (Schedule III, Sl. Nos. 12 and 13): allowances for expenses wholly, necessarily and exclusively incurred in performing duties, to the extent actually spent, and prescribed allowances for personal expenses or cost of living; under the new regime only specifically prescribed allowances qualify.
3. **Employer paid tax** on non monetary perquisites (Schedule III, Sl. No. 10) and **Government allowances abroad** for Indian citizens (Sl. No. 9).

4. **Gallantry pensions** and related family pensions (Sl. Nos. 14 to 16).
5. **Provident fund and pension payouts:** payments from statutory provident funds (Schedule II, Sl. No. 3, with interest on employee contributions above Rs. 2,50,000 a year, or Rs. 5,00,000 where the employer does not contribute, made on or after 1 April 2021 not excluded), the exempt part of a recognised provident fund balance (Sl. No. 4), and National Pension System payments on closure up to 60% (Sl. No. 6).

8. Deductions from Salaries: Section 19

The Table in section 19(1) contains deductions that were partly deductions and partly exemptions under the 1961 Act (sections 16, 10(10), 10(10A), 10(10AA), 10(10B) and 10(10C)).

1. **Tax on employment (Sl. No. 1):** the entire amount paid under Article 276(2); not available under the new regime.
2. **Standard deduction (Sl. No. 2):** Rs. 75,000 or the salary, whichever is less, under the new regime; Rs. 50,000 or the salary, whichever is less, otherwise.
3. **Gratuity of Government and local authority employees, and defence services (Sl. Nos. 3 and 4):** entire amount.
4. **Gratuity under the Payment of Gratuity Act, 1972 (Sl. No. 5):** up to the amount computed under section 4(2) and (3) of that Act, that is, fifteen days' wages at the last drawn rate for each completed year of service (or part above six months), subject to the ceiling notified under that Act.
5. **Other gratuity (Sl. No. 6):** the least of the actual gratuity, the limit notified by the Central Government, and half a month's average salary (average of the ten months before the month of retirement) for each completed year of service. The total for all years and employers cannot exceed the notified limit (section 19(2)(a)), and "salary" includes dearness allowance if the terms of employment so provide but excludes other allowances and perquisites (section 19(2)(b)).
6. **Commuted pension (Sl. Nos. 7 to 9):** entire amount for Government, local authority and statutory corporation employees and from funds in Schedule VII, Sl. No. 3; for other employees, the commuted value of one third of the pension if gratuity is also received, and of one half otherwise. Uncommuted (periodical) pension is fully taxable.
7. **Retrenchment compensation (Sl. Nos. 10 and 11):** the least of the compensation received, the amount under section 25F(b) of the Industrial Disputes Act, 1947, and the notified amount (not less than Rs. 50,000); the entire amount under a scheme approved by the Central Government.
8. **Voluntary retirement compensation (Sl. No. 12):** the compensation or Rs. 5,00,000, whichever is less, under a scheme of an employer listed in section 19(2)(h) that follows the prescribed guidelines; allowed only once in a lifetime, and not if relief under section 157 has been claimed for it (section 19(2)(e)).
9. **Leave encashment on retirement (Sl. Nos. 13 and 14):** entire amount for Central and State Government employees; for others, the least of the cash equivalent of earned leave (counting not more than thirty days per year of service), ten months' average salary, the notified amount, and the amount received. Leave encashment during service is fully taxable.

Under the 1961 regime, the notified limits were Rs. 20,00,000 for gratuity and Rs. 25,00,000 for leave encashment. Notifications continue under section 536(2)(j) unless replaced, but confirm the current figures before using them.

> **Exam focus.** Under the 2025 Act, gratuity, commuted pension, retrenchment and voluntary retirement compensation and leave encashment are deductions in computing salary under section 19, not

exemptions. Because section 202(2) withdraws only Sl. No. 1 (tax on employment), they remain available under the new regime.

9. The New Tax Regime and an Illustration

Section 202 is the default regime. A person without business income may opt out each year when filing the return (section 202(4)(b)); a person with business income opts out by the due date, the choice continues for later years, and it can be withdrawn only once (section 202(4)(a)). Under the new regime, a salaried employee gets the Rs. 75,000 standard deduction and the section 19 retirement deductions, but loses the deduction for tax on employment, house rent allowance, leave travel concession, most special allowances, interest on a self occupied house, and most Chapter VIII deductions; a house property loss cannot be set off against other heads.

Illustration. Meera works for a private company in Pune for the tax year beginning 1 April 2026. Basic salary is Rs. 9,00,000, dearness allowance forming part of retirement benefits is Rs. 1,00,000, house rent allowance is Rs. 3,00,000, rent paid is Rs. 3,60,000 and tax on employment is Rs. 2,500. Assume that salary for house rent allowance is basic plus dearness allowance, Rs. 10,00,000.

1. **Opting out of the new regime.** Exempt house rent allowance is the least of Rs. 3,00,000; Rs. 3,60,000 less 10% of salary (Rs. 1,00,000), which is Rs. 2,60,000; and 50% of salary, Rs. 5,00,000. So Rs. 2,60,000 is exempt and Rs. 40,000 taxable. Gross salary is Rs. 10,40,000; less standard deduction of Rs. 50,000 and tax on employment of Rs. 2,500, income from salary is Rs. 9,87,500. Tax then follows the Finance Act rates after any Chapter VIII deductions.
2. **Under the new regime.** The whole allowance is taxable, so gross salary is Rs. 13,00,000; less standard deduction of Rs. 75,000, total income is Rs. 12,25,000. Tax under section 202(1) is Rs. 20,000 (5% of Rs. 4,00,000) plus Rs. 40,000 (10% of Rs. 4,00,000) plus Rs. 3,750 (15% of Rs. 25,000), totalling Rs. 63,750. Marginal relief under section 156(2)(b) limits the tax to the income above Rs. 12,00,000, that is Rs. 25,000, so the rebate is Rs. 38,750 and tax is Rs. 25,000, plus cess under the Finance Act.

Practice Questions for Unit IV

1. "The heads of income are mutually exclusive." Explain with reference to section 13 and decided cases.
2. Explain the clubbing provisions (sections 96 to 99) and the provisions on unexplained income (sections 102 to 106 and 195).
3. Define salary and explain when it is chargeable. Why is a partner's remuneration not salary? Discuss Ram Prashad and R.M. Chidambaram Pillai.
4. What is a perquisite? Discuss section 17 with reference to Arun Kumar, Infosys Technologies and L.W. Russel.
5. Explain the treatment of gratuity, commuted pension, leave encashment and voluntary retirement compensation under section 19, and the house rent allowance exemption.

Unit V: Income from House Property

1. Rationale of the Charge

The charge under this head is on the **annual value** of property, that is, the amount the property can reasonably be expected to fetch if let from year to year, or the actual rent if higher. It is not a tax on rent as such. The reasons are:

1. ownership of a building is itself a source with an inherent capacity to yield income;
2. a notional charge treats owners who let their property and owners who do not more equally; and
3. annual value is easy to estimate, and a flat 30% deduction replaces verification of actual repair costs.

The law softens the notional charge: up to two houses occupied by the owner, or which he cannot occupy for any reason, have a nil annual value (section 21(6) and (7)), and unlet property held as stock in trade has a nil annual value for up to two years after completion (section 21(5)).

2. The Charge, the Owner and the Deemed Owner

2.1 Section 20

The annual value of property consisting of buildings or lands appurtenant to them, of which the assessee is the owner, is chargeable under this head (section 20(1)), except the portions he occupies for his own business or profession whose profits are taxable (section 20(2)). Three conditions therefore apply:

1. the property is a building (any structure with walls and a roof, such as a house, flat, shop or godown) or land appurtenant to it (such as a courtyard or garage); income from letting vacant land not attached to a building falls under other sources or business;
2. the assessee is the owner; and
3. the property is not used for the assessee's own taxable business or profession.

2.2 Who is the owner

> **R.B. Jodha Mal Kuthiala v. CIT (1971) 3 SCC 369; [1971] 82 ITR 570 (SC)**

The owner is the person entitled to receive the income from the property in his own right. Property that had vested in the Custodian of Evacuee Property in Pakistan was not the assessee's for this purpose.

> **CIT v. Podar Cement (P) Ltd. (1997) 5 SCC 482; [1997] 226 ITR 625 (SC)**

A person who has paid for a property, is in possession and receives the rent in his own right is the owner, even if the sale deed has not been registered.

2.3 Deemed owners: section 25

"Owner" includes:

(a) an individual who transfers property without adequate consideration to his or her spouse (except under an agreement to live apart) or to a minor child (other than a married daughter);

(b) the holder of an impartible estate;

(c) a member of a cooperative society, company or association to whom a building is allotted or leased under a house building scheme;

(d) a person in possession under part performance of a contract under section 53A of the Transfer of Property Act, 1882; and

(e) a person who acquires rights in a building (other than a monthly lease or a lease of up to one year) by sale, exchange or a lease of at least twelve years, or through membership, shares or any arrangement that enables enjoyment of the property.

2.4 House property or business income

> **Sultan Brothers (P) Ltd. v. CIT AIR 1964 SC 1389; [1964] 51 ITR 353 (SC)**

Where a building is let together with furniture or machinery and the two lettings are inseparable, the income is not house property income; it is income from other sources or business income. This rule is now in section 92(2)(g).

> **Chennai Properties and Investments Ltd. v. CIT [2015] 373 ITR 673 (SC)**

Where letting of property was the main object of the company and its whole business, the rent was business income. The same view was taken in *Rayala Corporation (P) Ltd. v. Assistant CIT* [2016] 386 ITR 500 (SC).

New rule. Section 26(4) now provides that income from letting out a residential house, or part of it, by the owner is chargeable only as income from house property. For residential property, therefore, the Chennai Properties approach no longer applies; it may still matter for commercial property let as a business.

Further points: a resident and ordinarily resident owner is taxed on foreign property too; a tenant who sub lets is not the owner, so his income is not house property income.

3. Annual Value: Section 21

3.1 The basic rule

The annual value is the **higher** of (a) the sum for which the property might reasonably be expected to let from year to year, and (b) the actual rent received or receivable, if the property or part of it is let (section 21(1)). In practice the expected rent is estimated from the municipal valuation and the fair rent of similar property, limited by the standard rent where a rent control law applies.

> **Mrs. Sheila Kaushish v. CIT (1981) 4 SCC 121; [1981] 131 ITR 435 (SC)**

Where a rent control law applies, the annual value cannot exceed the standard rent determinable under that law, even if no standard rent has actually been fixed. This followed *Dewan Daulat Rai Kapoor v. New Delhi Municipal Committee* (1980) 1 SCC 685; [1980] 122 ITR 700 (SC), on rateable value for municipal tax.

3.2 Adjustments

1. **Vacancy:** if the property is let but vacant for the whole or part of the year, and because of the vacancy the actual rent is less than the expected rent, the actual rent is the annual value (section 21(2)).
2. **Municipal taxes:** taxes levied by a local authority and actually paid by the owner during the year reduce the annual value, whatever year they relate to (section 21(3)).
3. **Unrealised rent** is excluded from actual rent, subject to rules (section 21(4)). Under the 1962 Rules (Rule 4) the conditions were a bona fide tenancy, the defaulting tenant having vacated or steps taken to evict him, the tenant not occupying any other property of the owner, and reasonable steps, including legal proceedings, taken to recover the rent; check the corresponding 2026 Rule.

4. **Stock in trade:** unlet property held as stock in trade has a nil annual value up to two years from the end of the financial year in which the completion certificate is obtained (section 21(5), as amended).
5. **Self occupied houses:** the annual value is nil if the owner occupies the house for his own residence or cannot actually occupy it due to any reason (section 21(6)). This is wider than the 1961 Act, which required residence elsewhere because of employment, business or profession. The benefit is limited to two houses chosen by the owner, and is lost if the house is let at any time in the year or the owner derives any other benefit from it (section 21(7)).

4. Deductions: Section 22

(a) Standard deduction: 30% of the annual value, whatever the actual expenditure. No other repair or maintenance deduction is allowed.

(b) Interest payable on capital borrowed to acquire, construct, repair, renew or reconstruct the property, on an accrual basis.

(c) Pre construction interest: interest for the period before the tax year in which the property is acquired or constructed, allowed in five equal instalments from that year (reduced by any interest allowed elsewhere, section 22(3)).

For self occupied houses, the total of (b) and (c) is limited to **Rs. 2,00,000** if the property was acquired or constructed with a loan for that purpose, completed within five years from the end of the year of borrowing, and the lender's certificate is furnished; otherwise **Rs. 30,000** (section 22(2) and (4)). The combined limit for all self occupied houses is Rs. 2,00,000 (section 22(5)). Under the new regime, no interest deduction is allowed on a self occupied house. For let out houses, section 22 sets no limit on interest. Interest payable outside India is not deductible if tax has not been deducted or paid on it and there is no agent in India (section 22(6)).

5. Arrears, Unrealised Rent, Co Owners and Losses

1. **Arrears and unrealised rent received later** are income of the year of receipt, even if the assessee is no longer the owner, and 30% of the amount is deducted (section 23).
2. **Co owners** with definite and ascertainable shares are not assessed as an association of persons; each is taxed on his share, and each gets the self occupied benefit individually (section 24).
3. **Losses:** a house property loss can be set off against other house property income (section 108), and against other heads up to Rs. 2,00,000 a year (section 109(1)(b)); the balance is carried forward for up to eight tax years against house property income only (section 110). Under the new regime it cannot be set off against other heads.

6. Illustrations

Let out property. Anil's flat is let for the whole year. Expected rent is Rs. 3,00,000, actual rent Rs. 3,60,000, municipal taxes paid Rs. 20,000 and loan interest Rs. 1,50,000. Annual value is Rs. 3,60,000 less Rs. 20,000, that is Rs. 3,40,000. Less 30% (Rs. 1,02,000) and interest (Rs. 1,50,000), income from house property is Rs. 88,000.

Self occupied property. Sunita lives in her own house, bought with a loan in 2023 and completed within five years, with interest of Rs. 2,40,000 for the year and the lender's certificate. Outside the new regime, the annual value is nil and the interest deduction is limited to Rs. 2,00,000, giving a loss of Rs. 2,00,000 that can be set off against her salary. Under the new regime, there is no interest deduction and the income from the house is nil.

Practice Questions for Unit V

1. Explain the rationale of the charge on annual value under section 20.
2. Who is the "owner" of house property? Discuss R.B. Jodha Mal Kuthiala, Podar Cement and section 25.
3. How is annual value determined? Explain vacancy, municipal taxes, unrealised rent, rent control and self occupied houses.
4. When is rental income taxed as business income? Discuss Sultan Brothers, Chennai Properties and section 26(4).
5. Explain the deductions under section 22 and the treatment of house property losses.

Unit VI: Profits and Gains of Business or Profession

1. Charge and Scope: Section 26

"Business" includes any trade, commerce or manufacture, or any adventure or concern in the nature of trade, commerce or manufacture (section 2(20)). "Profession" includes vocation (section 2(86)). Section 26(2) makes the following chargeable under this head:

(a) profits and gains of any business or profession carried on during the tax year;

(b) compensation received by a person managing an Indian company, holding an agency in India or holding a business contract, in connection with the termination or modification of the management, agency or contract (reversing, for these cases, the capital receipt view in Kettlewell Bullen);

(c) compensation for the vesting of the management of any property or business in the Government;

(d) income of a trade, professional or similar association from specific services to members;

(e) export incentives, such as profit on sale of import licences, cash assistance and duty drawback;

(f) the value of any benefit or perquisite arising from business, whether or not convertible into money;

(g) interest, salary, bonus, commission or remuneration received by a partner from his firm, to the extent allowed to the firm under section 35(e);

(h) sums received for not carrying on an activity in relation to a business (non compete fees) or for not sharing know how, patents, trademarks and similar rights, except a transfer of the right to manufacture or carry on business taxable as capital gains;

(i) sums received under a Keyman insurance policy;

(j) the fair market value of inventory converted into a capital asset; and

(k) sums received on the transfer or destruction of an asset whose entire cost was deducted under section 46.

A speculation business is treated as distinct from any other business (section 26(3)); a speculative transaction is one settled otherwise than by actual delivery, subject to exceptions such as hedging and eligible derivative transactions (section 66(31) and (33)). Income from letting a residential house by its owner is house property income, not business income (section 26(4)). Business income is computed under sections 28 to 60, except section 58, which has its own presumptive scheme (section 27).

2. Basic Principles for Arriving at Business Income

2.1 What amounts to business

> **Narain Swadeshi Weaving Mills v. Commissioner of Excess Profits Tax AIR 1955 SC 176; [1954] 26 ITR 765 (SC)**

"Business" connotes a real, substantial and systematic or organised course of activity with a set purpose.

G. Venkataswami Naidu and Co. v. CIT AIR 1959 SC 359; [1959] 35 ITR 594 (SC)

A single, isolated transaction can be an adventure in the nature of trade. The indicators include an intention to resell at a profit when buying, the nature and quantity of the commodity, any work done to improve or market it, and how it was financed. No single factor is decisive.

2.2 Illegal business

Profits of an illegal business are taxable (*CIT v. S.C. Kothari* [1971] 82 ITR 794 (SC)). A loss incidental to such a business may be allowed: in *CIT v. Piara Singh* [1980] 124 ITR 40 (SC), currency carried by a smuggler and confiscated was allowed as a business loss. But a penalty for breaking the law is not deductible (*Haji Aziz and Abdul Shakoor Bros. v. CIT*, AIR 1961 SC 1265; [1961] 41 ITR 350 (SC)), and section 34(2)(a) and (3) now disallow any expenditure for a purpose that is an offence or prohibited by law.

2.3 Commercial principles

Business income is computed on ordinary commercial principles as modified by the Act, aiming at real profit, but specific statutory provisions prevail. A loss arising in the ordinary course of business, such as embezzlement by an employee, is allowed as a trading loss (*Badridas Daga v. CIT*, AIR 1958 SC 783; [1958] 34 ITR 10 (SC)). Each tax year is separate and res judicata does not strictly apply, but a position accepted for years on unchanged facts should not be reopened without good reason (*Radhasoami Satsang v. CIT* (1992) 1 SCC 659; [1992] 193 ITR 321 (SC)). Income and expenditure are recognised under the cash or mercantile system regularly employed, subject to the notified Income Computation and Disclosure Standards (section 276).

2.4 Capital and revenue expenditure

Capital expenditure is not deductible under section 34, though it may attract depreciation or a specific deduction.

British Insulated and Helsby Cables Ltd. v. Atherton [1926] AC 205

Expenditure made once and for all to bring into existence an asset or advantage for the enduring benefit of a trade is ordinarily capital (the enduring benefit test).

Assam Bengal Cement Co. Ltd. v. CIT AIR 1955 SC 89; [1955] 27 ITR 34 (SC)

Payments for a lease of limestone quarries and for protection against competition during the lease were capital, because they secured an enduring advantage. Fixed capital earns profit by being kept; circulating capital by being parted with.

Empire Jute Co. Ltd. v. CIT (1980) 4 SCC 25; [1980] 124 ITR 1 (SC)

A payment to buy loom hours (the right to work more looms under an industry agreement) was revenue. The enduring benefit test is not conclusive; an advantage that only makes the existing business run more efficiently, without adding to the capital structure, is revenue.

Alembic Chemical Works Co. Ltd. v. CIT (1989) 3 SCC 329; [1989] 177 ITR 377 (SC)

Payment for technical know how to improve production of an existing product was revenue. No single test decides the question.

In short, expenditure to acquire, extend or improve the profit making structure is generally capital; expenditure to run the business or keep the existing structure working is generally revenue.

3. Scheme of Business Deductions

1. **Specific deductions:** section 28 (rent, rates, taxes, repairs, insurance), 29 (employee welfare), 30 (insurance premia), 31 (bad debts), 32 (other items) and 33 (depreciation).
2. **Special deductions:** sections 44 to 52, such as preliminary expenses (section 44), scientific research (section 45), capital expenditure of specified businesses (section 46), and development accounts and funds (sections 48 and 49).
3. **General deduction:** section 34.
4. **Disallowances and timing rules:** sections 35 and 36, and section 37 (deduction only on actual payment).
5. **Deemed profits:** section 38.
6. **Computation rules:** actual cost (section 39) and written down value (section 41).
7. **Presumptive taxation, books and audit:** sections 58, 61, 62 and 63.

4. The General Deduction: Section 34

Any expenditure is deductible if it is not covered by sections 28 to 33, 44 to 49, 51 and 52, is not capital expenditure or personal expenditure, and is laid out wholly and exclusively for the business or profession (section 34(1)).

> **Sassoon J. David and Co. (P) Ltd. v. CIT [1979] 118 ITR 261 (SC)**

"Wholly and exclusively" does not mean "necessarily". Expenditure incurred voluntarily, without legal necessity, is deductible if incurred for the business.

> **CIT v. Malayalam Plantations Ltd. AIR 1964 SC 1734; [1964] 53 ITR 140 (SC)**

"For the purpose of the business" is wider than "for earning profits" and includes carrying on, preserving and protecting the business. Estate duty paid by the company in respect of deceased shareholders' shares was, however, not for the purpose of the business.

> **S.A. Builders Ltd. v. CIT (Appeals) (2007) 1 SCC 781; [2007] 288 ITR 1 (SC)**

Interest on borrowed money lent interest free to a sister concern was deductible because the loan was made for commercial expediency. The Revenue cannot put itself in the businessman's armchair. Earlier decisions such as *Eastern Investments Ltd. v. CIT*, AIR 1951 SC 278, and *CIT v. Walchand and Co.* [1967] 65 ITR 381 (SC) had likewise held that commercial expediency and reasonableness are judged from the businessman's point of view.

Never "wholly and exclusively" for business (section 34(2) and (3)). Expenditure for any purpose that is an offence or prohibited by any law in or outside India; benefits or perquisites to a person whose acceptance of them violates the law, rules or guidelines governing his conduct; compounding an offence; settling notified contravention proceedings; corporate social responsibility expenditure under section 135 of the Companies Act, 2013; and advertisement in political party publications.

> **Apex Laboratories (P) Ltd. v. Deputy CIT (Supreme Court, 2022)**

Freebies given by a pharmaceutical company to doctors, whose acceptance was prohibited by their professional conduct regulations, were not deductible. Section 34(3)(b) now states this rule expressly.

5. Specific Deductions

1. **Section 28:** for premises, machinery, plant and furniture used for the business: insurance premium, land revenue and municipal taxes, rent paid by a tenant, and current repairs (not capital), with only a fair proportion allowed where use is partly for business.
2. **Section 29 (employee welfare):** employer's contributions to recognised provident funds and approved superannuation funds within prescribed limits; contributions to the pension scheme under section 124 up to 14% of salary; contributions to an approved gratuity fund; provisions for such contributions or for gratuity payable in the year (no other gratuity provision is allowed); and **employees' own contributions** to provident fund and welfare funds, if credited to their accounts by the due date for filing the return (section 29(1)(e)). No other contribution to funds or trusts is deductible unless required by law (section 29(3)).
3. **Section 30:** insurance premia on stocks and stores, on cattle of members of primary milk societies (by a federal milk cooperative), and on employees' health (paid other than in cash).
4. **Section 32:** bonus or commission to employees (if not a substitute for profits or dividend); interest on capital borrowed for business, excluding interest for the period before an asset acquired with it is first put to use; transfers by specified financial entities to special reserves (up to 20% of eligible profits, within twice the paid up capital and general reserves); family planning expenditure by a company (capital expenditure over five years); loss on animals that die or become useless; securities and commodities transaction tax; and other specified items.
5. **Section 44:** an Indian company, or a resident other than a company, may deduct one fifth of specified preliminary expenses, incurred before commencement of business or for an extension or new unit, in each of five successive tax years.
6. **Section 50:** trade, professional and similar associations may deduct the shortfall between receipts from members and expenditure for their common interest, up to 50% of total income.

The change in section 29(1)(e). In *Checkmate Services (P) Ltd. v. CIT* (Supreme Court, 2022), the Supreme Court held that employees' contributions are their own money held in trust and are deductible only if deposited by the due date under the relevant fund law. The 2025 Act originally followed this, but the Finance Act, 2026 substituted section 29(1)(e) so that the deduction is now available if the amount is credited by the due date of the return. Section 37(6) confirms that the actual payment rule does not apply to these contributions.

6. Depreciation: Section 33

6.1 Conditions

Depreciation is allowed if:

1. the asset is a **tangible asset** (buildings, machinery, plant or furniture) or an **intangible asset** acquired on or after 1 April 1998 (know how, patents, copyrights, trademarks, licences, franchises or similar business or commercial rights), **but not goodwill**;
2. the asset is **owned**, wholly or partly, by the assessee; and
3. it is **used** wholly and exclusively for the business or profession, with only a fair proportion allowed for partial business use (section 33(3)(b)).

"Plant" includes ships, vehicles, books, scientific apparatus and surgical equipment, but not tea bushes, livestock, buildings, or furniture and fittings (section 66(17)). Improvements to a leased building made by the tenant for his business are treated as a building owned by him (section 33(6)).

6.2 Block of assets and written down value

Depreciation is charged at the prescribed rate on the written down value of each **block of assets**, that is, a class of assets carrying the same rate (sections 2(17) and 33(3)(a)). Under section 41(1)(c), the written down value of a block is the previous year's figure less the depreciation allowed for that year, plus the actual cost of assets added during the year, less the sale price and scrap value of assets of the block sold, discarded or destroyed (not exceeding the amount so far computed). Actual cost is reduced by subsidies, GST input credit and similar amounts, and cash payments above Rs. 10,000 a day are excluded from it (section 39). Rates are in the Rules; under the 1962 Rules, general plant and machinery carried 15%, computers 40%, furniture 10% and intangible assets 25%. Confirm the 2026 rates before use.

6.3 Special rules

1. **Half rate:** only 50% of the rate is allowed if the asset is acquired and used for less than 180 days in the year (section 33(4)).
2. **Compulsory:** depreciation applies whether or not claimed (section 33(7)). This reverses *CIT v. Mahendra Mills* (2000) 3 SCC 615; [2000] 243 ITR 56 (SC), which had treated depreciation as optional under the earlier law.
3. **Additional depreciation:** 20% of the actual cost of new plant or machinery (other than ships and aircraft) acquired and installed by a manufacturer or power undertaking, or 10% in the first year and 10% in the next if used for less than 180 days; not for second hand assets, office or residential installations, office appliances, road vehicles or assets fully deducted otherwise (section 33(8) and (9)).
4. **Power undertakings** may claim depreciation on actual cost (section 33(2)), with a terminal deduction for loss on sale (section 33(10)) and a balancing charge on gain (section 38(1)(b)).
5. **Unabsorbed depreciation:** depreciation exceeding the profits of the year is carried forward and added to the next year's allowance, without time limit (section 33(11)).

6.4 Leading cases

1. *CIT v. Taj Mahal Hotel* (1971) 3 SCC 550; [1971] 82 ITR 44 (SC): sanitary fittings in a hotel are plant; "plant" includes any apparatus used to carry on the business, other than stock in trade.
2. *Scientific Engineering House (P) Ltd. v. CIT* (1986) 1 SCC 11; [1986] 157 ITR 86 (SC): technical drawings and designs used as tools of the trade are plant.
3. *Mysore Minerals Ltd. v. CIT* (1999) 7 SCC 106; [1999] 239 ITR 775 (SC): "owned" includes a person who has dominion over and uses the asset in his own right, though legal title has not passed.
4. *CIT v. Smifs Securities Ltd.* (2012) 13 SCC 488; [2012] 348 ITR 302 (SC): goodwill was held depreciable under the earlier law; the 2025 Act expressly excludes goodwill (sections 2(17)(b) and 33(1)(b)).

7. Bad Debts: Section 31

A bad debt, or part of it, is deductible in the year in which it is **written off as irrecoverable in the accounts**, if it was taken into account in computing income of that or an earlier year, or it represents money lent in the ordinary course of a banking or money lending business (section 31(2)). If less is finally recovered than the amount not deducted, the shortfall is deductible in the year of recovery. A provision for bad and doubtful debts is not a write off (section 31(3)(a)). Banks may deduct a provision up to 8.5% of total income plus 10% of average rural advances, and foreign banks, public financial institutions and non banking financial companies up to 5% of total income (section 31(1)); their write offs are then allowed

only to the extent they exceed the provision. A later recovery in excess of the amount not allowed is taxable (section 38(1)(d)).

> **TRF Ltd. v. CIT [2010] 323 ITR 397 (SC)**

After the 1989 amendment of the 1961 Act, the assessee need not prove that a debt has actually become irrecoverable; writing it off in the accounts is enough. Section 31(2) keeps this requirement.

> **Vijaya Bank v. CIT (2010) 5 SCC 416; [2010] 323 ITR 166 (SC)**

Debiting bad debts to the profit and loss account and reducing the loans and advances in the balance sheet accordingly is a valid write off, even without closing each debtor's account.

> **Southern Technologies Ltd. v. Joint CIT (2010) 2 SCC 548; [2010] 320 ITR 577 (SC)**

A provision for non performing assets made under Reserve Bank directions is not a write off and is not deductible as a bad debt.

8. Disallowances, Actual Payment and Deemed Profits

8.1 Section 35: amounts not deductible

1. **Income tax**, including surcharge and cess, tax paid by an employer on employees' non monetary perquisites, and foreign tax for which relief is available.
2. **Failure to deduct tax at source:** 30% of a sum payable to a resident is disallowed if tax was deductible but not deducted, or not paid by the due date of the return; it is allowed in the year the tax is paid. For interest, royalty, technical fees or other sums payable outside India or to non residents, the whole amount is disallowed on the same basis.
3. **Salary** payable outside India or to a non resident without deduction of tax.
4. **Levies by a State** exclusively on a State Government undertaking.
5. **Payments by a firm to partners:** remuneration to non working partners; remuneration or interest not authorised by the partnership deed or relating to a period before it; remuneration to working partners above the limit (on the first Rs. 6,00,000 of book profit or in case of loss, Rs. 3,00,000 or 90% of book profit, whichever is higher, and 60% of the balance); and interest above 12% simple a year.
6. **Payments by an association of persons** or body of individuals to its members.

> **Palam Gas Service v. CIT (2017) 7 SCC 613; [2017] 394 ITR 300 (SC)**

The disallowance for failure to deduct tax applies to amounts paid during the year as well as amounts payable at the year end.

8.2 Section 36: excessive and cash payments

1. Excessive or unreasonable payments to **specified persons** (relatives, directors, partners, members and persons with a substantial interest of at least 20%) are disallowed to the extent of the excess, judged by market value, business needs and benefit (section 36(2) and (3)).
2. Expenditure paid to a person in a day above **Rs. 10,000** (Rs. 35,000 for goods carriages) otherwise than by an account payee cheque or draft, electronic clearing or other prescribed electronic mode is disallowed; a later cash payment of a liability deducted earlier is deemed income (section 36(4) to (8); section 66(32)).
3. Marked to market losses are not deductible except as allowed under the notified standards (section 36(9)).

> **Attar Singh Gurmukh Singh v. Income Tax Officer (1991) 4 SCC 385; [1991] 191 ITR 667 (SC)**

The disallowance of cash payments was upheld as constitutional. It aims to check unaccounted money, and exceptions for genuine cases make it reasonable.

8.3 Section 37: deduction only on actual payment

Taxes, duties, cess and fees; employer's contributions to provident, gratuity and welfare funds; leave encashment; bonus or commission to employees; interest to specified financial entities; amounts payable to the Indian Railways; and amounts payable to micro and small enterprises beyond the time allowed under section 15 of the Micro, Small and Medium Enterprises Development Act, 2006 are deductible only when actually paid (section 37(1) and (2)). If paid after the year ends but by the due date of the return, they are allowed for the year of the liability, except payments to micro and small enterprises (section 37(3)). Interest converted into a loan or debenture is not treated as paid (section 37(4)).

> **Allied Motors (P) Ltd. v. CIT (1997) 3 SCC 472; [1997] 224 ITR 677 (SC) and CIT v. Alom Extrusions Ltd. (2010) 1 SCC 489; [2009] 319 ITR 306 (SC)**

The provisions allowing payment up to the due date of the return were held to be curative and retrospective, both for taxes (Allied Motors) and for employers' contributions to welfare funds (Alom Extrusions).

8.4 Section 38: deemed profits

The following are taxed as business income of the year in which they arise:

(a) the benefit of remission or cessation of a trading liability for which a deduction was allowed, including a unilateral write off in the assessee's own accounts, and any later recovery of a loss or expenditure allowed earlier;

(b) a balancing charge on sale of assets of a power undertaking;

(c) the excess on sale of a scientific research asset;

(d) recovery of a bad debt in excess of the amount not allowed; and

(e) withdrawals from a special reserve under section 32(e).

These apply even if the business has ceased (section 38(5)), and a successor in business is taxed on benefits it receives (section 38(4)).

> **CIT v. T.V. Sundaram Iyengar and Sons Ltd. [1996] 222 ITR 344 (SC)**

Trade deposits that remained unclaimed and were transferred to the profit and loss account became the assessee's own money and were taxable as trading receipts.

> **CIT v. Sugauli Sugar Works (P) Ltd. [1999] 236 ITR 518 (SC)**

A remission can be granted only by the creditor, and a cessation occurs only by operation of law or a bilateral act, so the debtor's own write back of a liability did not attract the provision then in force. Parliament reversed this by Explanation 1 to section 41(1) of the 1961 Act from the assessment year 1997 to 1998, and section 38(1)(a)(i) now expressly covers a unilateral write off.

> **CIT v. Mahindra and Mahindra Ltd. (Supreme Court, 2018)**

Waiver of a loan taken to buy capital assets was not a business benefit (which must be in kind, not cash) and not a remission of a trading liability (no deduction had been claimed for it). Under the 2025 Act too, section 38(1)(a) applies only where a deduction was allowed.

9. Presumptive Taxation, Books and Audit

9.1 Section 58

1. **Small business:** for an eligible assessee with turnover up to Rs. 2 crore, or up to Rs. 3 crore where cash receipts do not exceed 5%, income is deemed to be 6% of turnover received by banking or online modes (by the due date of the return) plus 8% of other turnover, or the actual profit if higher.
2. **Goods carriages:** for an assessee owning not more than ten goods carriages, Rs. 1,000 per ton of gross vehicle weight per month for each heavy goods vehicle and Rs. 7,500 per month for each other vehicle, or the actual profit if higher.
3. **Professionals:** for a specified profession with gross receipts up to Rs. 50 lakh, or Rs. 75 lakh where cash receipts do not exceed 5%, 50% of gross receipts, or the actual profit if higher.

No further deductions or losses are allowed against presumptive income, and depreciation is treated as allowed for computing written down value (section 58(4) and (6)). An assessee who declares lower profit and whose income exceeds the exemption limit must keep books and get them audited (section 58(3)). A small business that leaves the scheme within five years of opting for it cannot return for the next five years (section 58(7)). Under the corresponding 1961 provision (section 44AD), an eligible assessee was a resident individual, Hindu undivided family or partnership firm other than a limited liability partnership; check the definition in section 58. Section 61 has a separate presumptive scheme for certain activities of non residents.

9.2 Books of account: section 62

Persons in specified professions (legal, medical, engineering, architecture, accountancy, technical consultancy, interior decoration, information technology, company secretary and notified professions) must keep books. Others must do so if business or professional income exceeds Rs. 1,20,000 or turnover exceeds Rs. 10 lakh in any of the three preceding years (Rs. 2,50,000 and Rs. 25 lakh for individuals and Hindu undivided families), or if they declare less than the presumptive income.

9.3 Tax audit: section 63

Audit is required where business turnover exceeds Rs. 1 crore (Rs. 10 crore if cash receipts and cash payments are each within 5%), where professional receipts exceed Rs. 50 lakh, or where a presumptive assessee declares lower profit. The report must be furnished one month before the due date of the return, and a cheque or draft that is not account payee counts as cash.

10. Worked Illustration

A trading company (not a bank) shows a net profit of Rs. 20,00,000 for the tax year beginning 1 April 2026, after debiting book depreciation of Rs. 3,00,000 (tax depreciation under section 33 is Rs. 3,60,000), income tax of Rs. 1,50,000, a cash payment of Rs. 50,000 to a supplier on one day, professional fees of Rs. 4,00,000 to a resident without deduction of tax, a provision for doubtful debts of Rs. 80,000, bonus of Rs. 2,00,000 (of which Rs. 50,000 was paid after the due date of the return) and CSR expenditure of Rs. 1,00,000. It also credited dividend income of Rs. 60,000.

1. Net profit: Rs. 20,00,000.
2. Add book depreciation Rs. 3,00,000; income tax Rs. 1,50,000 (section 35(a)); cash payment Rs. 50,000 (section 36(4)); 30% of professional fees Rs. 1,20,000 (section 35(b)(i)); provision for doubtful debts Rs. 80,000 (section 31(3)(a)); bonus paid late Rs. 50,000 (section 37); CSR Rs. 1,00,000 (section 34(2)(b)). Total additions: Rs. 8,50,000, giving Rs. 28,50,000.

3. Less tax depreciation Rs. 3,60,000 and dividend Rs. 60,000 (taxable under other sources, section 92(2)(a)).
4. **Business income: Rs. 24,30,000.** The disallowed fees and bonus will be allowed in the years in which the tax is paid and the bonus is paid.

Practice Questions for Unit VI

1. What is "business"? When does an isolated transaction become an adventure in the nature of trade?
2. Explain the tests for distinguishing capital from revenue expenditure, with cases.
3. Discuss section 34, including the disallowances in section 34(2) and (3) and the Apex Laboratories decision.
4. State the conditions for depreciation and explain block of assets, written down value and additional depreciation.
5. When is a bad debt deductible? Discuss TRF, Vijaya Bank and Southern Technologies.
6. Explain sections 35, 37 and 38, including the change regarding employees' provident fund contributions.

Appendix A: Section Finder from the 1961 Act to the 2025 Act

The correspondence is by subject. Always read the new wording, which may differ.

1. Definitions: agricultural income 2(1A) is now 2(5); assessee 2(7) is 2(11); block of assets 2(11) is 2(17); business 2(13) is 2(20); capital asset 2(14) is 2(22); income 2(24) is 2(49); person 2(31) is 2(77); profession 2(36) is 2(86); total income 2(45) is 2(108).
2. Previous year (section 3) is now the tax year (section 3); assessment year (2(9)) has no counterpart.
3. Charge, scope, residence, deemed receipt and deemed accrual (sections 4, 5, 6, 7 and 9) keep the same numbers; section 5A is now section 10.
4. Exemptions (section 10) are now section 11 with Schedules II to VII; section 10(10), (10A), (10AA), (10B) and (10C) are now deductions in section 19.
5. Heads of income (section 14) is now section 13; section 14A is now section 14.
6. Salaries: sections 15, 17(1), 17(2), 17(3) and 16 are now sections 15, 16, 17, 18 and 19.
7. House property: sections 22, 23, 24, 25A, 26 and 27 are now sections 20 to 25.
8. Business: section 28 is 26; sections 30 and 31 are 28; section 32 is 33; section 36(1) clauses are spread over sections 29 to 32; section 37(1) is 34; section 40 is 35; section 40A is 36; section 43B is 37; section 41 is 38; sections 43(1) and 43(6) are 39 and 41; sections 35D, 35, 35AD and 44A are 44, 45, 46 and 50; section 43CA is 53; sections 44AD, 44ADA and 44AE are 58; sections 44AA and 44AB are 62 and 63; section 145 is 276.
9. Other sources (sections 56 to 58) are now sections 92 to 94; clubbing (sections 60 to 65) is now sections 96 to 100; unexplained income (sections 68 to 69D) is now sections 102 to 106, and section 115BBE is section 195.
10. Set off of losses (sections 70, 71 and 71B) is now sections 108 to 110; deductions under section 80A, 80C, 80CCD, 80D, 80E, 80G, 80GG and 80U are now sections 122, 123, 124, 126, 129, 133, 134 and 154.
11. Rebate (87A), relief (89) and treaties (90) are now sections 156, 157 and 159; the new regime (115BAC) is section 202; the General Anti Avoidance Rule (sections 95 to 102) is sections 178 to 184.

Appendix B: Key Figures to Remember

1. **Residence:** 182 days; or 60 days plus 365 days in the four preceding years; 120 days for visiting citizens and persons of Indian origin with income (other than from foreign sources) above Rs. 15,00,000; deemed residence for citizens not taxed elsewhere with such income above Rs. 15,00,000.
2. **Not ordinarily resident:** non resident in nine of ten preceding years, or 729 days or less in seven preceding years; or 120 to 181 days of stay for citizens and persons of Indian origin with such income above Rs. 15,00,000.
3. **Indirect transfer:** Indian assets above Rs. 10 crore and at least 50% of total assets; small shareholders at 5% or less excluded.
4. **New regime slabs:** nil up to Rs. 4,00,000, then 5%, 10%, 15%, 20% and 25% for each further Rs. 4,00,000, and 30% above Rs. 24,00,000. **Rebate:** up to Rs. 60,000 (income up to Rs. 12,00,000, new regime) or Rs. 12,500 (income up to Rs. 5,00,000, otherwise).

5. **Salary:** standard deduction Rs. 75,000 (new regime) or Rs. 50,000; voluntary retirement compensation up to Rs. 5,00,000; retrenchment notified amount at least Rs. 50,000; employer contributions taxable above Rs. 7,50,000; commuted pension one third or one half; house rent allowance limit 50% or 40% of salary and rent paid less 10% of salary.
6. **House property:** 30% deduction; interest on self occupied houses up to Rs. 2,00,000 or Rs. 30,000; pre construction interest in five instalments; two self occupied houses; set off against other heads up to Rs. 2,00,000; carry forward eight years.
7. **Business:** cash payments above Rs. 10,000 a day (Rs. 35,000 for goods carriages) disallowed; 30% disallowance for failure to deduct tax from payments to residents; partner remuneration limits Rs. 6,00,000, Rs. 3,00,000, 90% and 60%, and interest 12%; pension scheme contributions up to 14% of salary; half rate depreciation below 180 days; additional depreciation 20%; bank provisions 8.5% plus 10% of rural advances, others 5%.
8. **Presumptive, books and audit:** 6% and 8% up to Rs. 2 crore (Rs. 3 crore); ten goods carriages, Rs. 1,000 per ton and Rs. 7,500 a month; professions 50% up to Rs. 50 lakh (Rs. 75 lakh); books above Rs. 1,20,000 or Rs. 10 lakh (Rs. 2,50,000 or Rs. 25 lakh for individuals and Hindu undivided families); audit above Rs. 1 crore (Rs. 10 crore) or Rs. 50 lakh for professions.
9. **Other:** gifts of money taxable above Rs. 50,000 a year; unexplained income taxed at 30%; urban agricultural land within municipalities of at least 10,000 population or within 2, 6 or 8 kilometres; minor child's clubbed income exempt up to Rs. 1,500 per child; substantial interest 20%.